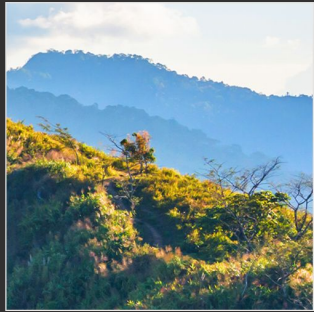
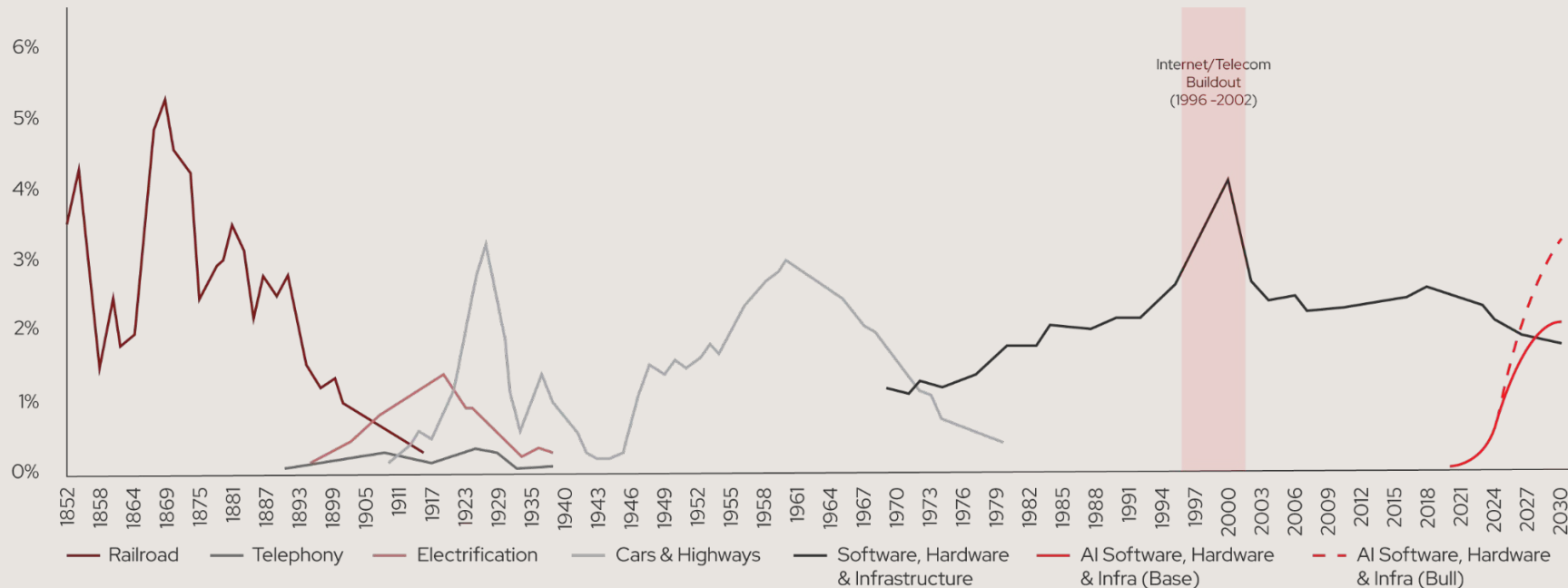


MARKET UPDATE



We Got Our Technological Revolution.

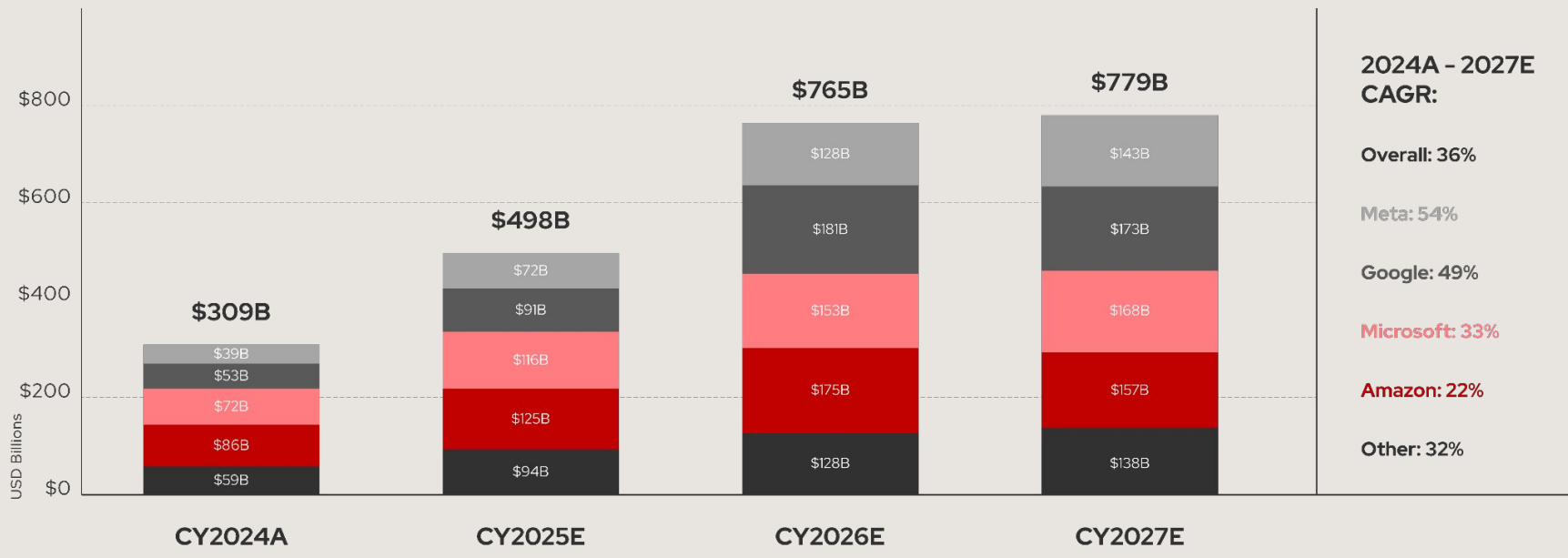
Historical Technology Investment Waves - Capital Expenditure as % of US GDP



Sources: BEA NIPA, Ulmer NBER, CBO, CreditSights, Goldman Sachs GIR, Federal Reserve Bank of St. Louis, Redpoint analysis and extrapolations. Analysis includes estimates based on available historical data and third-party projections.
Note: "AI Software, Hardware & Infrastructure" represents estimated incremental technology capex driven by AI above the pre-2019 baseline. All series as % of US nominal GDP.
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Hyperscalers Investing to Meet AI Demand.

Hyperscaler CapEx 2024A - 2027E



Not the Dotcom Bubble 2.0.

2000: The Dotcom Bubble Crash

- Real revenue significantly lagged capex investment.
- Infrastructure builds were largely funded by debt.
- Cisco EPS peaked at ~\$0.37.
- Severe fiber overbuild with <3% utilization and took many years to cover the gap
- Laying extra fiber strands was cheap and maintenance was minimal, so it was built speculatively. As a result, supply quickly outpaced demand.

\$250B+

Communications infra
capex in 2000

70M+ Users

~4 years post-Internet

Today: The AI Build-Out

- OpenAI and Anthropic are each generating \$20B+ ARR.
- Infrastructure builds are largely funded by cash flow.
- Nvidia EPS is currently ~\$4.06.
- >90% of build out capacity is pre-committed with near-zero data center vacancy rates.
- Hyperscalers are building data centers to meet real demand. Physical scarcity and costs for power, land, interconnect make speculative builds difficult to fund.

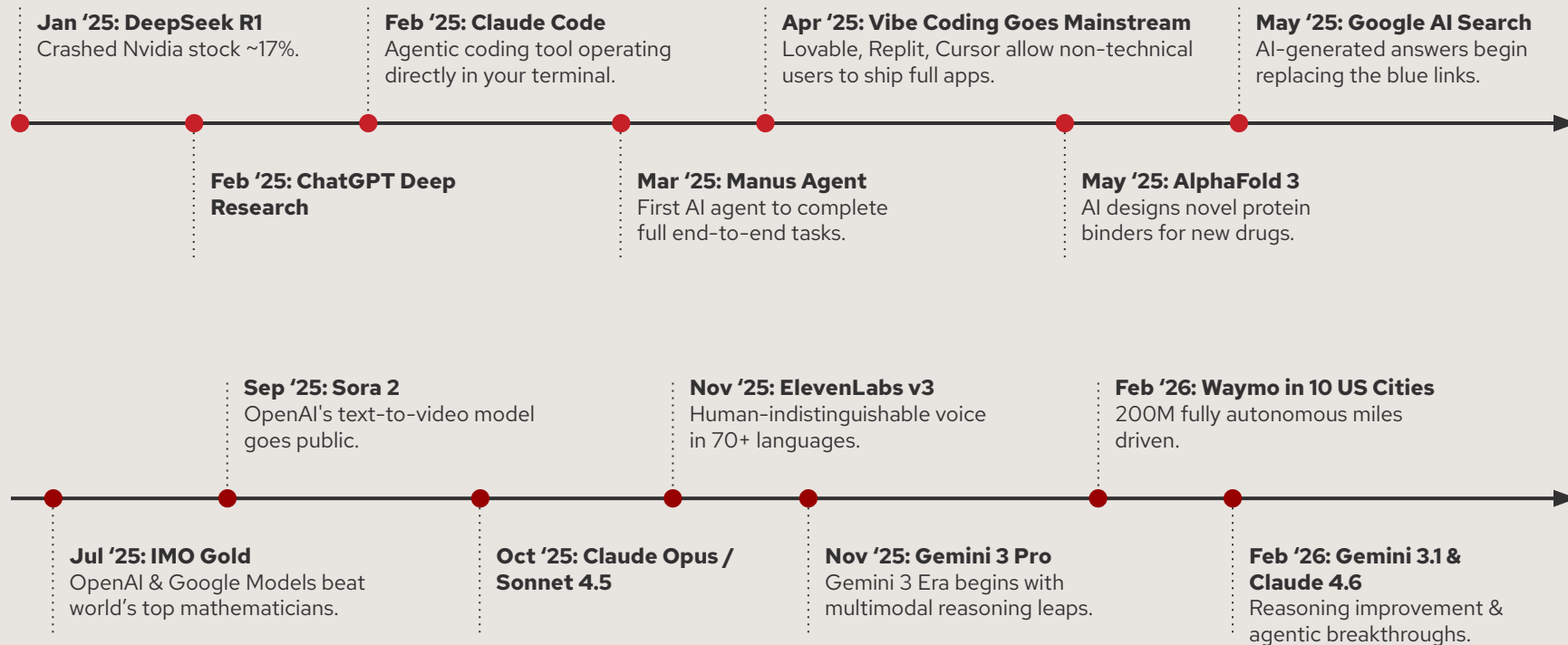
\$700B+

Estimated hyperscaler data
center capex in 2026

1B+ MAUs

~4 years post-ChatGPT

Seeing Awe-Inspiring Products Weekly.



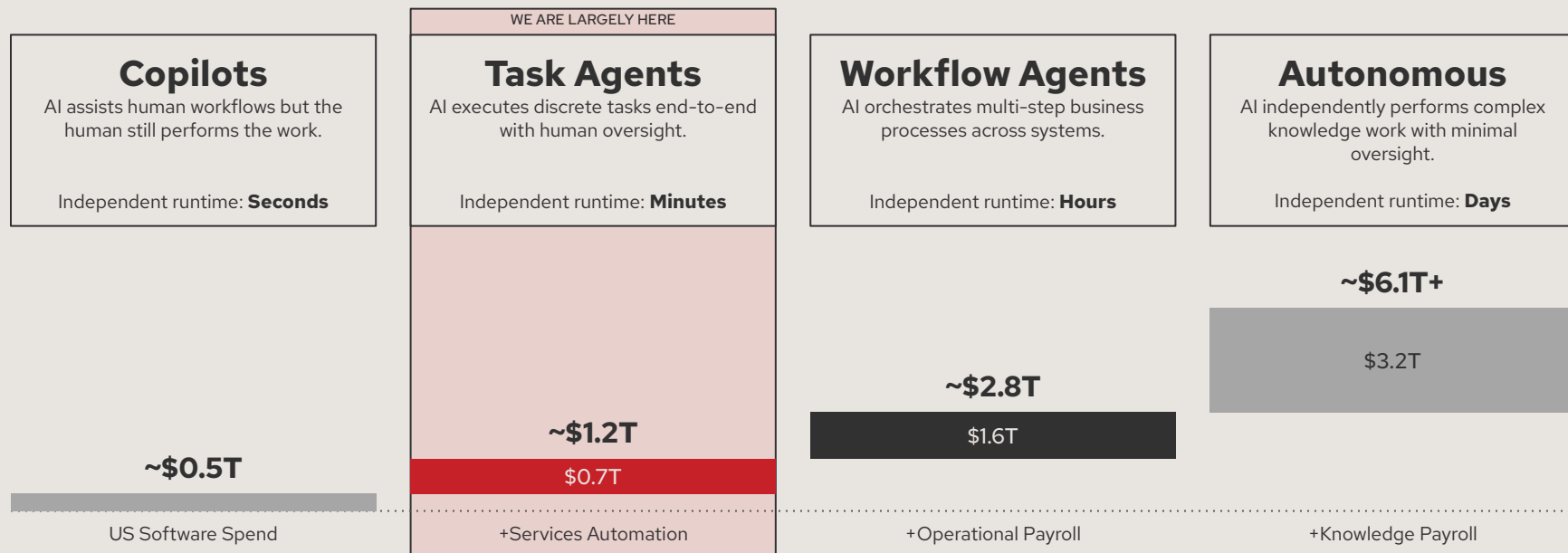
Actually Creating a Need for More Software Developers.



Source: Citadel, Indeed. Data indexed to 100.

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Agent Maturity Curve Is Still in Early Days.



Source: Gartner IT Spending Estimates, Forrester, U.S. Bureau of Labor Statistics, Redpoint analysis.

Note: U.S. software and services estimates derived from Gartner spending data adjusted for Forrester's estimate of 41% U.S. market share. Operational and knowledge work payroll estimates derived from U.S. Bureau of Labor Statistics Occupational Employment and Wage Statistics (2024) across selected occupational groups based on Redpoint classification and judgment. TAM analysis includes US only.

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Coding Was the First Domino.

Why the AI Models are So Good at Coding

- **Instant verification:** Code runs at machine speed in binary
- **Massive training set:** GitHub has over 100B lines of code, the richest structured data ever
- **Structured outputs:** Syntax rules clearly define the output space
- **Self-improving loop:** AI writes code to train the next gen models that write more code
- **Model trainer DNA:** Engineers at the AI labs know coding best

"Right now for most products at Anthropic it's effectively 100% just Claude writing, and then what we've done is created all the right scaffolds around it to let us trust it"

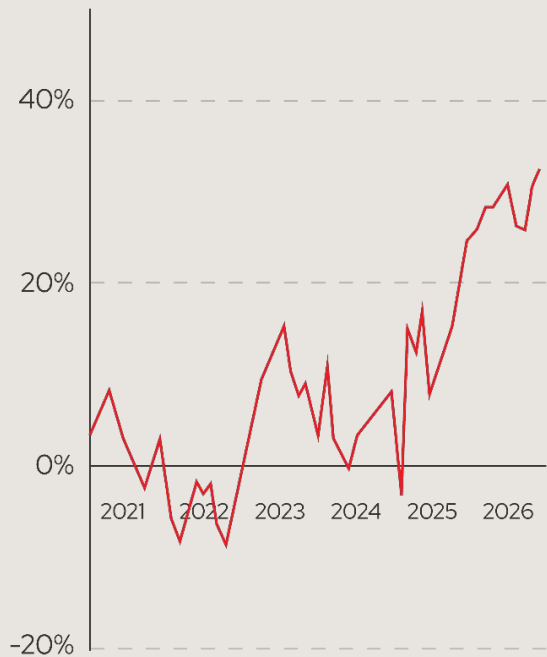
- Mike Krieger, Anthropic CPO

"Every [software] engineer is effectively gonna end up being more of like a tech lead in the future that has their own little army of engineering agents that they work with"

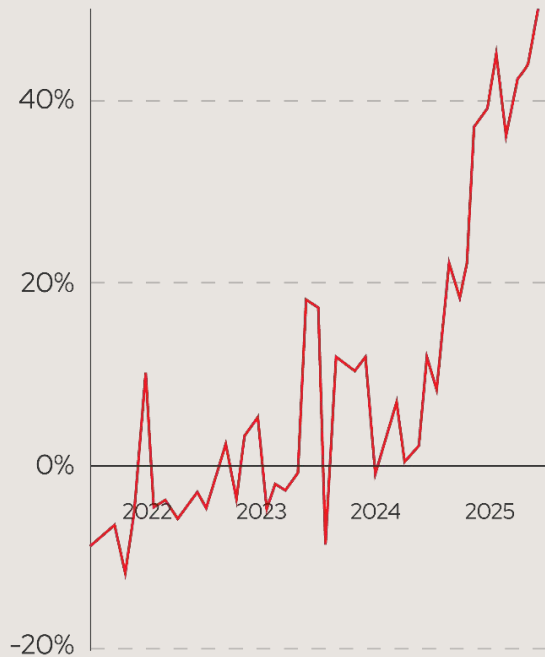
- Mark Zuckerberg, Meta CEO

Causing Software Development to Explode.

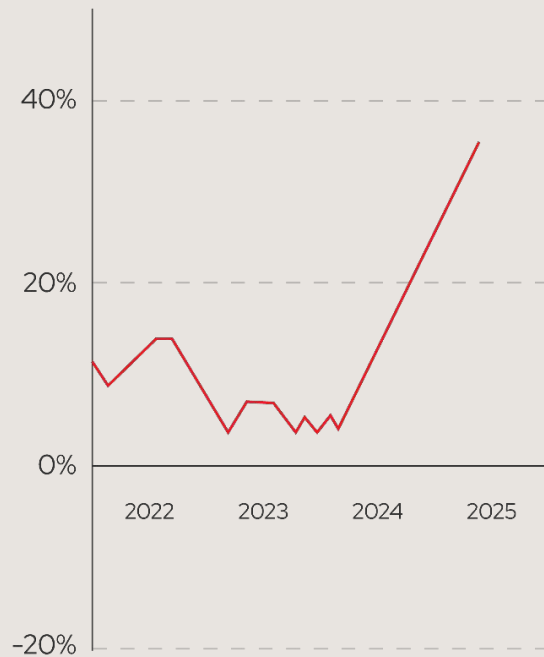
New Websites YoY Growth



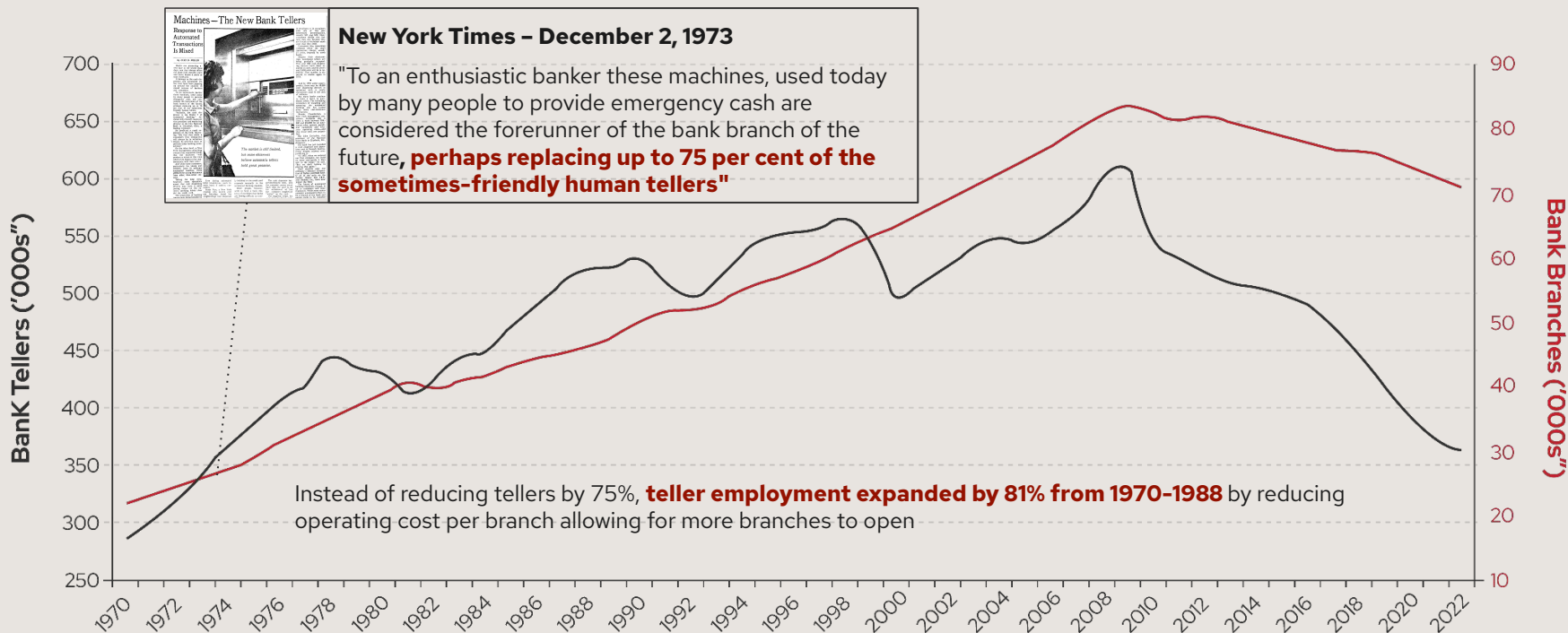
New iOS Apps YoY Growth



GitHub Code YoY Growth



Which Is Not Without Historical Precedent.



But People Are Asking If We Are Nearing the End of Commercial Software.

F FORRESTER

Feb 11, 2026

SaaS As We Know It Is Dead: How To Survive The SaaS-pocalypse!

NBC CNBC

Feb 6, 2026

AI fears pummel software stocks: Is it 'illogical' panic or a SaaS apocalypse?

C CTECH

Feb 5, 2026

AI threatens the core of Software-as-a-Service

Y HACKER NEWS

Feb 4, 2026

AI is Killing B2B SaaS

Y! YAHOO FINANCE

Jan 30, 2026

Why software stocks are getting crushed as AI casts a 'shadow of uncertainty' over sector

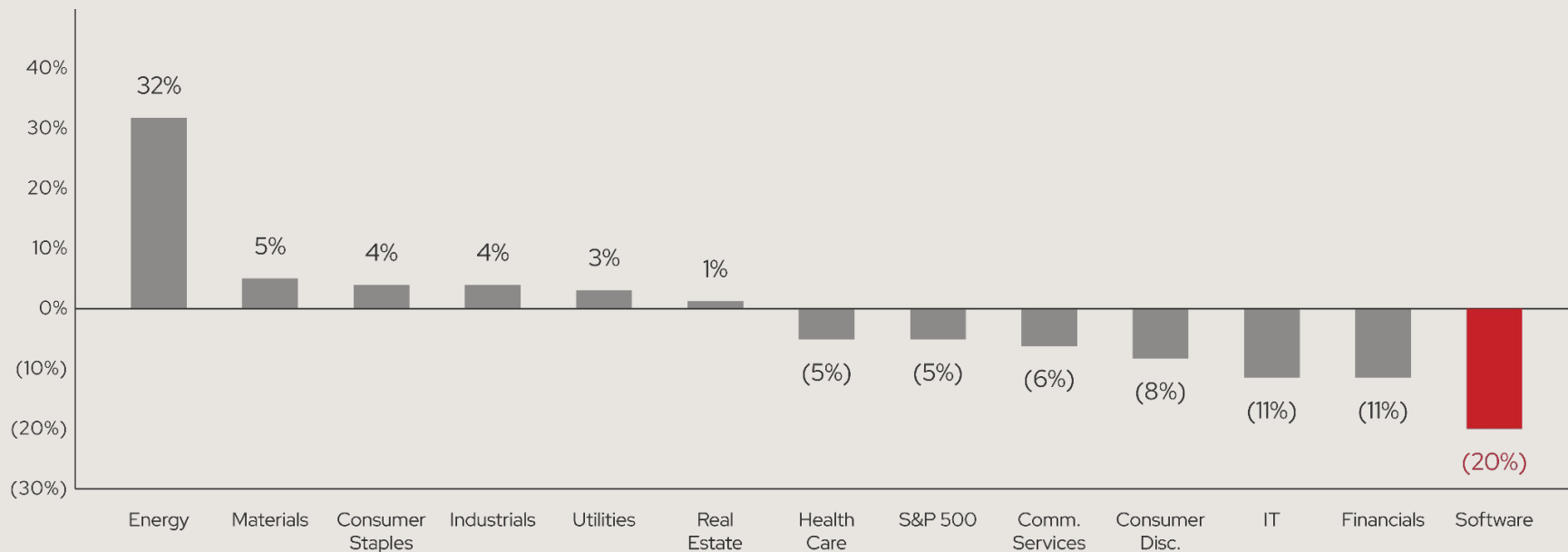
IDC IDC

Dec 2, 2026

Is SaaS Dead? Rethinking the Future of Software in the Age of AI

With Investors Fleeing to Anything Else.

Total Returns of S&P 500 by Sector 2026 YTD



Source: S&P Global. Software sector includes weight-adjusted returns of S&P 500 companies within Application Software and Systems Software GICS sub-industries. All other sector buckets include weight-adjusted returns of S&P 500 companies within each GICS sector. Market data as of 3/20/2026.

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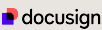
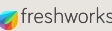
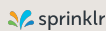
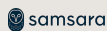
Causing the Lowest Trading Multiples in a Long Time.

Public SaaS Median NTM Revenue Multiple



Source: Catalyst, Pitchbook data. SaaS index comprised of publicly traded SaaS companies as traded on major U.S. and international stock exchanges. Market data as of 3/20/2026.
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Profitable Growth Trades at a Significant Premium.

NTM FCF Margin > 20%	NTM Revenue Growth <10%			NTM Revenue Growth 10-15%			NTM Revenue Growth 15-20%			NTM Revenue Growth >20%		
	Median NTM Revenue Multiple: 2.9x			Median NTM Revenue Multiple: 3.3x			Median NTM Revenue Multiple: 4.9x			Median NTM Revenue Multiple: 8.1x		
												
												
												
NTM FCF Margin <20%	Median NTM Revenue Multiple: 1.2x			Median NTM Revenue Multiple: 2.8x			Median NTM Revenue Multiple: 4.2x			Median NTM Revenue Multiple: 7.9x		
												
												
												

Source: Qatalyst, Pitchbook data. Analysis includes publicly traded SaaS companies as traded on major U.S. and international stock exchanges. Analysis shows a representative subset of companies within each bucket. Market data as of 3/20/2026.
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It's the Lowest Multiple Names With the Highest Volatility.

NTM Revenue Multiple Quartiles Average vs Average 1-Day Share Price Change



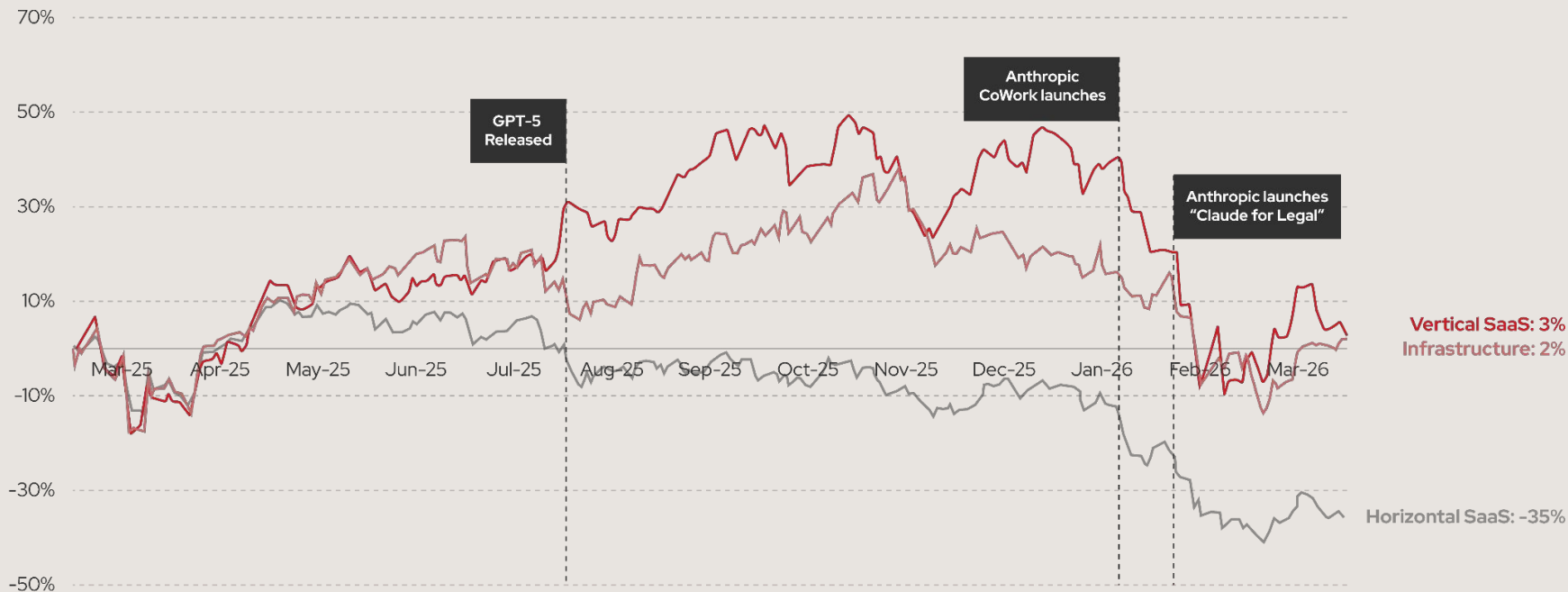
Note: Analysis groups public SaaS companies into 4 equal tiers by NTM revenue multiple, taking the YTD average for NTM revenue multiple and 1-day price change.

Source: Qatalyst, Pitchbook and company filings. Analysis includes publicly traded SaaS companies as traded on major U.S. and international stock exchanges. Market data as of 3/20/2026.

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Market Selloff Has Hit Horizontal SaaS the Hardest.

LTM Indexed Performance



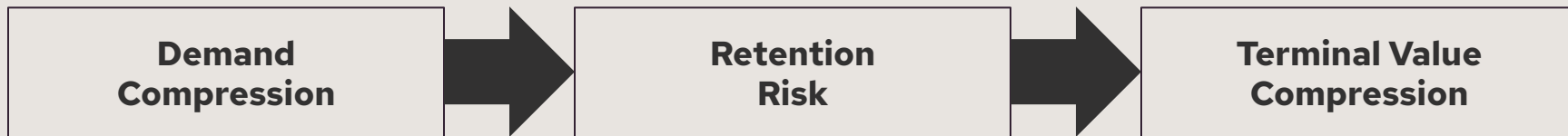
Source: Pitchbook data. Analysis includes publicly traded SaaS companies as traded on major U.S. and international stock exchanges, categorized by vertical SaaS, horizontal SaaS, and infrastructure based on Redpoint analysis. Market data as of 3/20/2026.
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Why the Selloff Has Hit Each Layer Differently.

3%	Vertical SaaS	2%	Infrastructure	(35%)	Horizontal SaaS
Owens the irreplaceable moat: data & compliance Almost definitionally because of the scale and TAM required to IPO, public Vertical software companies are often not only the system of record but also a workflow system. AI can augment these systems but cannot displace them without re-acquiring years of proprietary, industry-specific data. The switching cost is existential, not cosmetic.		AI is a tailwind, not a displacement risk New AI workloads run on or utilize Snowflake, Datadog, MongoDB and Cloudflare. What's displacing other areas of SaaS is infrastructure's direct tailwind. More AI deployment means more compute, more data, more observability spend. Infrastructure should benefit from AI adoption over time.		Accidentally optimized for replaceability Horizontal apps were designed to serve every industry equally, which often meant integrating deeply with none. Without deep proprietary data or long process history, switching is easier. These products were often designed to track who is doing what and when. That's exactly the kind of coordination problem AI handles well.	
AI is a feature, not a threat		Some pricing pressure, but strong underlying demand		AI often replaces the product, not just a feature	

Concerns Around Demand and Retention Are Causing Terminal Value Compression.

Net New ARR	=	(New Logos × ACV)	+	Expansion	-	Churn
-------------	---	-------------------	---	-----------	---	-------



AI captures incremental spend + seat-based pricing pressures

Existing revenue less sticky than before

Compounding in the DCF

Attacks: New Logos × ACV, Expansion

Attacks: Churn

Result: Lower growth & valuation

Demand Compression from Incremental AI Spend and Seat-Based Pricing Pressures.

AI Is the #1 Driver for Increases in Software Spend

58%

% of CIOs reporting AI feature additions as a key driver for increases in software spend, the highest of any category

Pricing Model Evolution Over 3 Years

Usage or Outcome Based

46%

31%

14%

9%

Hybrid

41%

33%

12%

14%

Seat Based

29%

35%

29%

7%

Flat subscription

16%

41%

35%

8%



Will become more common



No change



Will decline

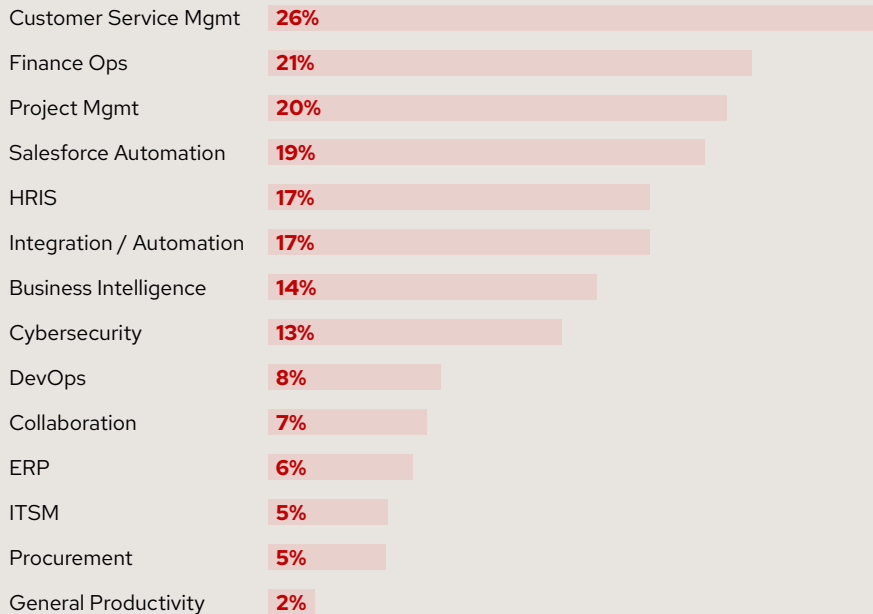


Unsure

Retention: Is Existing Revenue Still Sticky?

Top Categories at Risk for Replacement

% of CIOs who have seriously considered replacing vendor in category in the last year



CIOs Are Actively Evaluating Alternatives

54% of CIOs are actively pursuing vendor consolidation

45% of AI budgets are replacing existing software budgets

Only 3% of CIOs expect AI to lead to more vendors

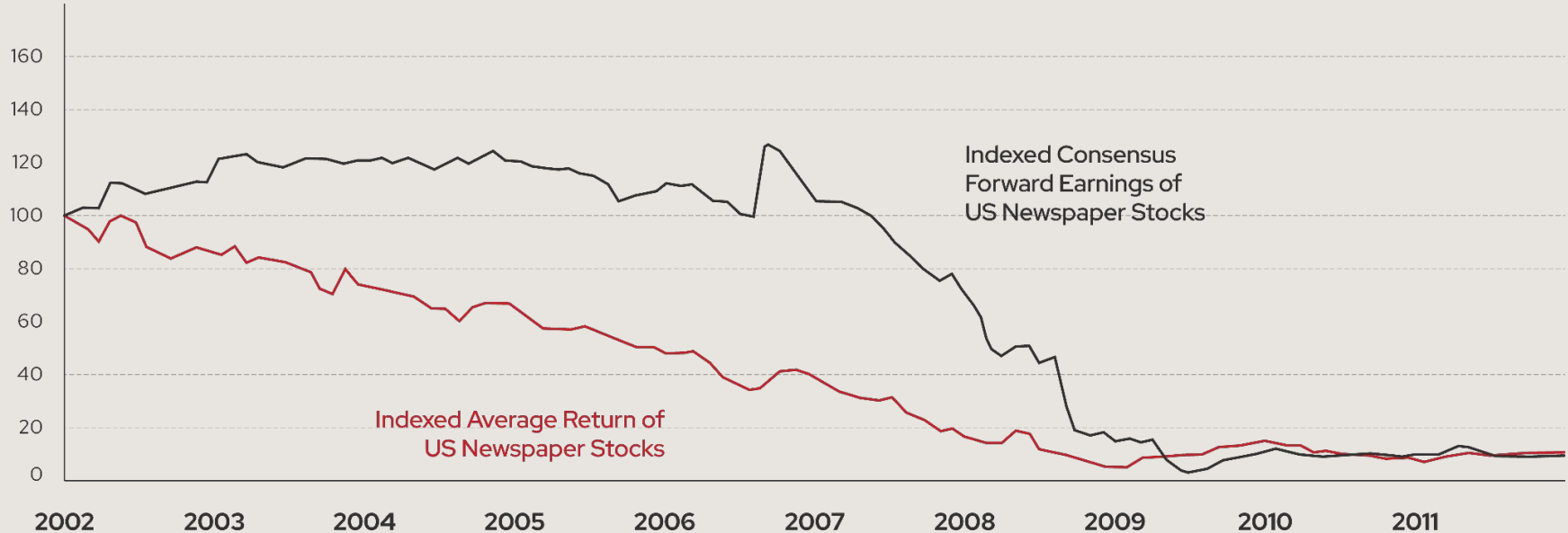
Despite Currently Improving Financials for a Lot of Software.

Companies with Accelerating Growth

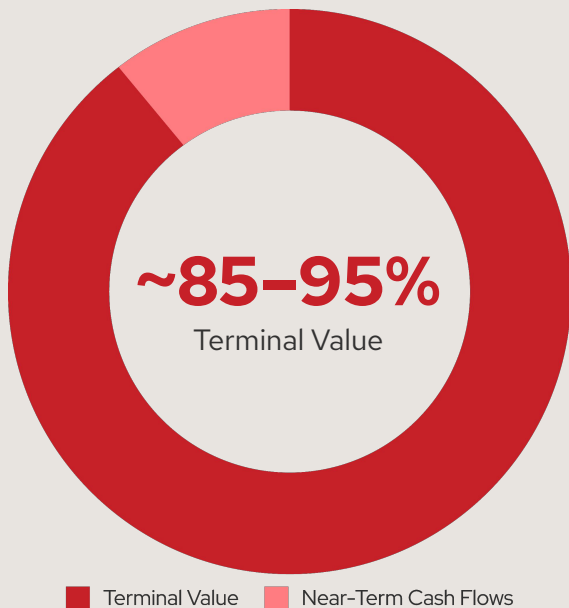
(2 consecutive quarters with at least a 1% improvement YoY revenue growth)

FQ - 2	FQ - 1	LAST FISCAL QUARTER				
						
						
						

Newspaper Earnings Actually Held Up For a Long Time Too.



Relatively Little of Long-Term Value Is From Near-Term Financials.



The Math Problem

In a typical SaaS DCF, only a small portion of the enterprise value comes from the explicit forecast period. The vast majority comes from terminal value.

What's Actually Being Questioned

Investors aren't debating this quarter or next year. They're questioning whether today's growth rates, margins, and moats hold up in a world reshaped by AI.

Why Beats Matter Less in This Market

A strong quarter moves less than 5% of the value. Most of the debate is happening around terminal value. You can't answer a 10-year question with a 90-day result.

Public Investors Are Assuming Long-Term Growth Is Near Zero.

Illustrative 5-Year DCF:

	3 MONTHS AGO	TODAY
Market Cap	\$100B 	\$73B 
5-Year Revenue CAGR	12.5% 	12.5% 
Long-Term Growth Rate <i>(implied in valuation)</i>	4.7% 	1.1% 
Cost of Equity	11.5% 	11.5% 

Note: DCF based on illustrative assumptions for revenue, FCF, market cap, and market cap discount. Revenue growth reflects 12.5% 5-year CAGR with steady-state FCF margins (levered) of 36% across both scenarios. Cost of equity estimated using the 10-year US Treasury for the risk-free rate and taking the average across comparable SaaS companies for beta and equity risk premium. Terminal growth rate derived as the implied growth necessary to reconcile projected CF with current market capitalization. Sources: PitchBook, McKinsey, US Treasury, and Redpoint analysis.

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The Concern Is (Almost) All the Future Competition.



DIY: Vibe-Coding

Build vs. Buy debate changes as enterprises can easily build bespoke solutions with tools like Claude Code

Concern Level:

LOW

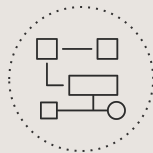


New Start-Up Competitors

AI reduces development costs, and startups easily replicate existing products, putting pressure on incumbents

Concern Level:

HIGH



Foundation Models

OpenAI, Anthropic, Google increasingly offer app-layer capabilities to move up the stack beyond the infra layer

Concern Level:

MED



SBC Overhang

SaaS companies have issued too much stock-based compensation in recent years, lowering real profit margins

Concern Level:

HIGH

The Narrative: Vibe Coding Is the Future.

THE WALL STREET JOURNAL.

February 10, 2026

How Coding Agents Could Transform Technology As We Know It

2015: Traditional Dev

Build = 6 months, \$500K
High friction

2020: Low Code

Build = 6 weeks, \$50K
Medium friction

2026: AI/Vibe Coding

Build = 6 hours, \$50
Low friction

Buy vs. Build Economics Still Are Hard.

For Example...  **slack**

Concern Level:

LOW

Buy	Build In-House
~\$220K / year For a company with 1K employees What that buys you: ○ Mobile apps ○ Security, SSO, compliance (SOC2, etc.) ○ 99.9%+ uptime, monitoring, incident response ○ Continuous updates, zero maintenance + Slack R&D (conservative): ○ In 2021, there were ~2,500 total employees ○ 800 engineers x \$150K salary = ~\$120M annual R&D ~\$220K buys ~\$120M of product	~\$2M+ / year Potential accumulated costs In-house building costs: ○ Engineering costs (\$150K/year = 1 engineer) ○ AI and cloud expenses (~\$100K/year) + Additional costs / not included: ○ Mobile apps ○ Pen testing, auth, SSO, compliance ○ Monitoring, uptime, incident response ○ Opportunity cost on engineering time on core product ○ Tech debt from unmaintained legacy code 8x+ more expensive & a worse product

The Narrative: New Start-Ups Will Capture Value.



Sam Altman

@sama

entering the fast fashion era of SaaS very soon

21:10 · Mar 8, 2025 · 1.6M Views

💬 1,2K ↺ 1,3 ❤️ 14K



SaaStr

One Thing is Clear: AI Is Leading to 1000+ New Competitors in SaaS

by Jason Lemkin | Blog Post



Boring_Business

@BoringBiz_

The real turmoil in software is not so much the loss of existing customers

A massive Fortune 500 that already has their existing data on a Salesforce or Workday is not going to magically rip it out and replace with some “vibe coded” internal tool

The real damage will be in the upsell of additional features that adds analytics, insights or ease of use on top

For example, if a CRM software upcharges your subscription to be able to analyze your data and provide customer insights, that feature becomes less and less valuable in an AI driven organization

As long as you can download the data, it is very easy for someone to use AI to draw out those insights themselves

The other angle that will really hurt for bad software companies is new customer adds. AI native startups will try to find alternatives to the existing options that exist today and may stall their decision on purchasing new seats

7:44AM · Feb 4, 2026 · 130K Views

💬 42 ↺ 67 ❤️ 560

AI-Natives Are Mostly Not Head-to-Head Competition Today.

Concern Level: **HIGH**

PLAYBOOK 1: AUGMENT THE ENTERPRISE

Sell alongside the incumbent. Own the AI layer on top of an entrenched system of record. The incumbent keeps the data and the contract but you own the intelligence.

The value accrues to the intelligence.

Incumbents can't move fast enough on AI. The wedge is intelligence, not data.

Sierra, Decagon, Giga

Salesforce Service Cloud

Moveworks

ServiceNow

Legora

LexisNexis

Lovable

Figma

PLAYBOOK 2: ATTACK THE SMB / MID-MARKET

Rebuild the product from scratch for a segment the incumbent over-serves. Simpler, cheaper, AI-native from day one. Win the customers the enterprise doesn't want today.

Win the next generation of customers.

Incumbents are too heavy for SMB. Products with AI-native UX and lower price points enable disruption from below.

Attio

Salesforce

Serval

ServiceNow

Linear

Atlassian

Rillet, Everest, Campfire

NetSuite

Certain Markets Are More Susceptible.

Top Categories at Risk for Replacement by AI-Centric Vendors

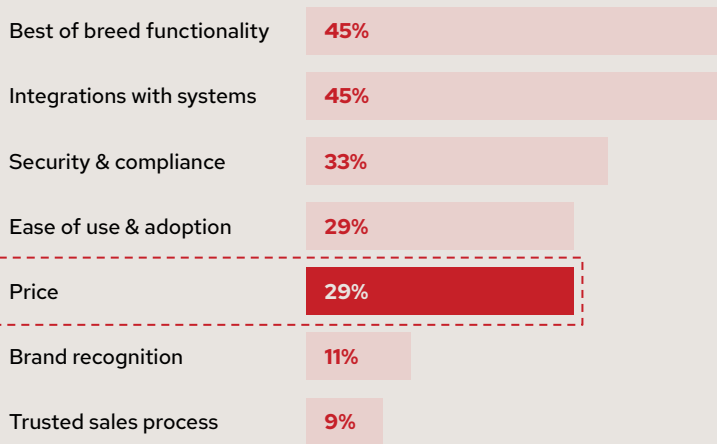
% of CIOs ranking category in the top 2 for openness to evaluating new AI-centric vendors



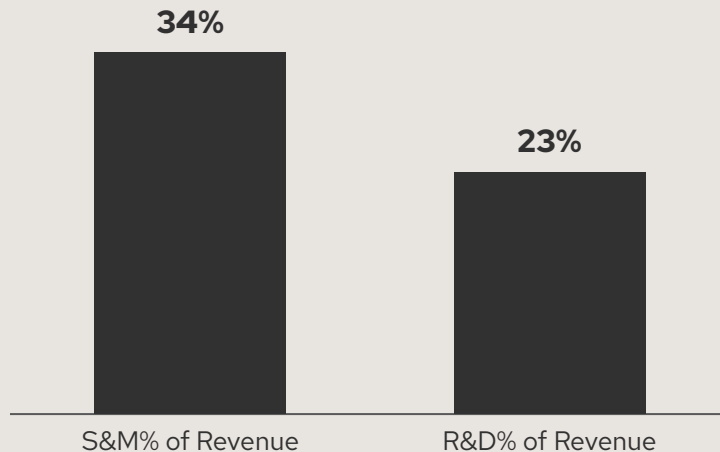
Source: Perspectives from Redpoint's CIO Software & AI Survey (March 2026); N = 141. Certain questions were optional or persona-specific so N-sizes may be below 141.
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R&D Usually Isn't the Hard Part of Software and Price Isn't the Differentiator.

Top Factors for CIOs When Selecting a Software Vendor
% of CIOs ranking factor as a top-2 priority when choosing a vendor



Public Software S&M vs R&D Spend



Source: Pitchbook, Perspectives from Redpoint's CIO Software & AI Survey (March 2026); N = 141. Certain questions were optional or persona-specific so N-sizes may be below 141. Public software analysis includes publicly traded SaaS companies as traded on major U.S. and international stock exchanges.

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The Narrative: The Foundation Models Will Do Everything.



Yishan

@yishan

My AI investment thesis is that every AI application startup is likely to be crushed by rapid expansion of the foundational model providers...

Far more so than with any other prior new technology, there is a massive and fast-moving wave that obsoletes every new app almost as fast as it can be invented. There is almost no time to build a company and scale it...

11:39 PM · Nov 9, 2025 · **20.6M Views**

1K 2K 13K



GEOFF WOO

@geoffreywoo

short: @harvey @RogoAI (legal ai and finance ai)
long: @OpenAI @AnthropicAI

models outpace any RL/fine tuning, and then vibe the UI/UX that wrapper cos tout

invest in foundation labs, and only startups with proprietary data moats.

models on pace to swallow everything

4:08 PM · Mar 7, 2026 · **204.2K Views**

52 24 565

Source: Public postings on X.

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This Is Not a New Phenomenon.

AWS RE:INVENT

Event and Trends Coverage by IOD

Thoughts at the End of My 7-Year AWS reInvent Cycle:

Nonetheless, at each re:Invent, someone I know says, "Which partners will AWS kill at their keynote today?"



Amazon QuickSight

Will Quicksight kill Tableau?

Tableau on the other hand has its cloud-based service (Tableau Online) starting at \$500 per user per year. This gives QuickSight a huge edge over other competitors, especially while catering to small to medium enterprises, which are sensitive on budget.



AWS Takes Aim at AI MongoDB with New Database service

Amazon Web Service's launch of a new NoSQL database sent shares of MongoDB plummeting Thursday as investors feared the world's largest public cloud would undercut adoption of the extremely popular open source document-oriented database.



P3 Memorandum

Company:	Snowflake	Purpose:	Decision
Location:	San Mateo	Date:	3/2/2014
Referral:	Internal	Team:	SD, SCR, TMH, JLW

Risks:

- AMZN Redshift is going to offer significant competition.
- Pre-revenue company in what will be a competitive market
- Price is high relative to stage.



Guest Post: The biggest trends at the Amazon Web services re:Invent Conference

One of the implications of AWS' continued growth towards complete solutions is that they continue to eat into the domain of their partner ecosystem. This has been an implied theme in years past, but the pace is accelerating.

- AWS X-Ray (analyze and debug distributed applications in production) which aims directly at current monitoring companies like New Relic, AppDynamics and Datadog
- AWS Lightsail (virtual private servers made easy) that, at \$5/month, will put significant pressure on companies like DigitalOcean and Linode

Foundation Models Are Still MOSTLY Infrastructure.

Concern Level:

MED

Today's Model Capabilities

- Frontier models can reason, write code, synthesize complex research and orchestrate multi-step tasks with tool access.
- However, enterprise software requires domain logic, integrations, compliance, UX, etc. that the models do not yet excel at out of the box today.

Future Model Ambitions

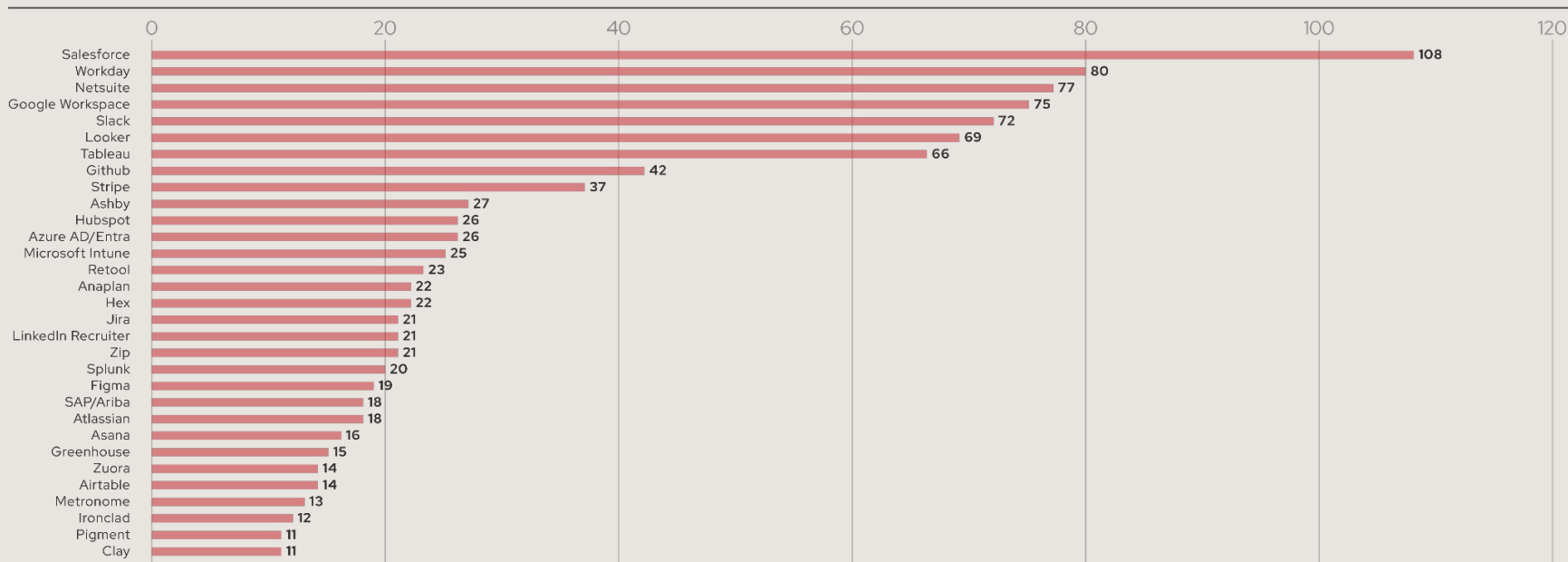
- Foundation Models are building enterprise applications and abstracting value by handling intelligent work.
- OpenAI launched Frontier, and Anthropic launched CoWork, enterprise products with plug-ins designed to automate knowledge work in different domains like finance and legal.
- Anthropic also released advanced computer use abilities in Claude to accelerate enterprise usage.

Where Today's Models Fall Short

- Single Player: FM products are not designed for collaboration, unlike traditional apps.
- Proprietary Data: Incumbents have inherent data and workflow advantages, in addition to integration breadth.
- Priorities: The AI labs have many competing priorities. OpenAI has stated they want to partner with leading app companies, not build products for every enterprise need.

FM Still Use Lots of Enterprise Software.

Mentions in OpenAI & Anthropic Job Postings (Last 12 Months)



Source: OpenAI and Anthropic job postings, last twelve months. Reflects mentions of commercial software tools in job descriptions.
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The Narrative: Stock-Based Comp Is Killing Everything.



Prakash ✓

@8teAPi

SaaS companies will have to reduce SBC. They will do this by firing employees. I expect a bloodbath, 25% reductions this year, 80% through the cycle. Revenues will also grow of course, but the problem is that AI firms are much more capital efficient.

11:14 AM · Feb 3, 2026 · 102.5K Views

💬 20 🔄 26 ❤️ 448



Quantian ✓

@quantian1

Before adjusting for SBC, there are 18 US software companies trading above an 8% FCF yield (highest = 16%, average = 11%). After adjusting for SBC, there are zero. What a terrible industry to knife catch LMAO.

9:05 AM · Feb 3, 2026 · 243.6K Views

💬 41 🔄 66 ❤️ 847



BuccoCapital Bloke ✓

@buccocapital

One dynamic I'm watching is whether investors will destroy public software purely via sentiment/derating

If they bifurcate the market where:

1. PubCo's trade at 15x GAAP earnings, cannot pay SBC
2. Privates can grow unprofitably and pay SBC

Public SaaS will get eaten alive

5:52 PM · Feb 12, 2026 · 44.7K Views

💬 32 🔄 7 ❤️ 246

Source: Public postings on X.

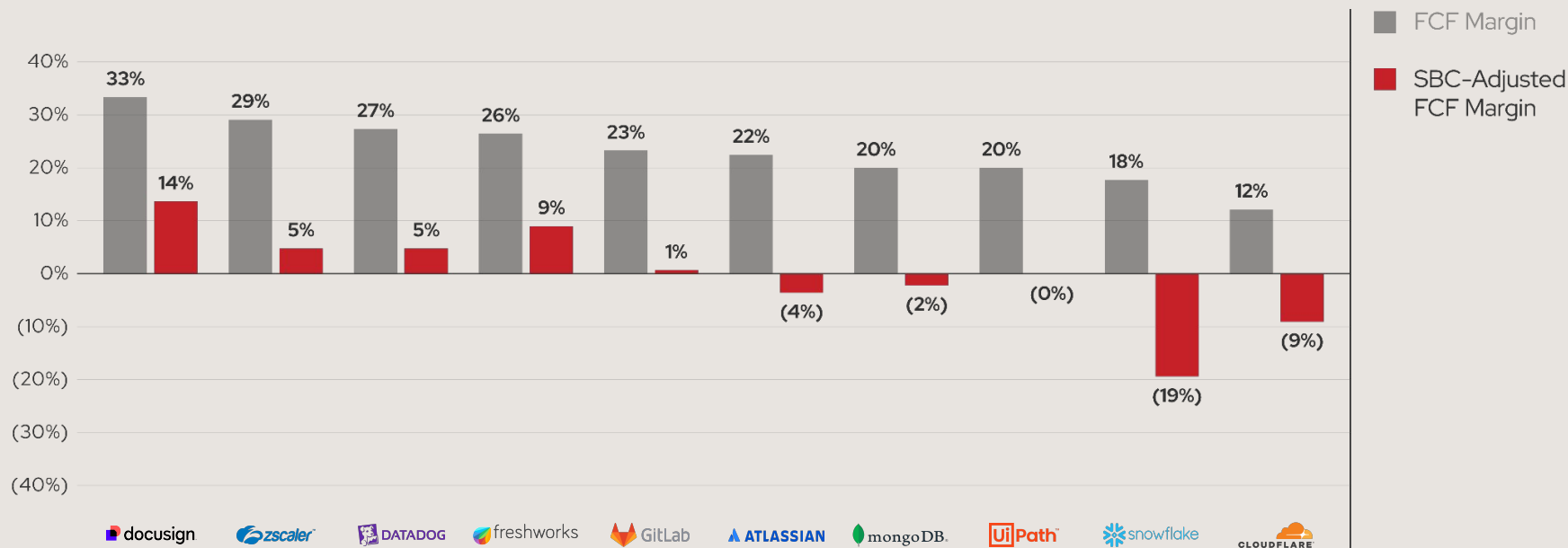
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This Is a Problem.

Selected Software FCF Margin vs SBC-Adjusted FCF Margin

Concern Level:

HIGH

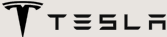


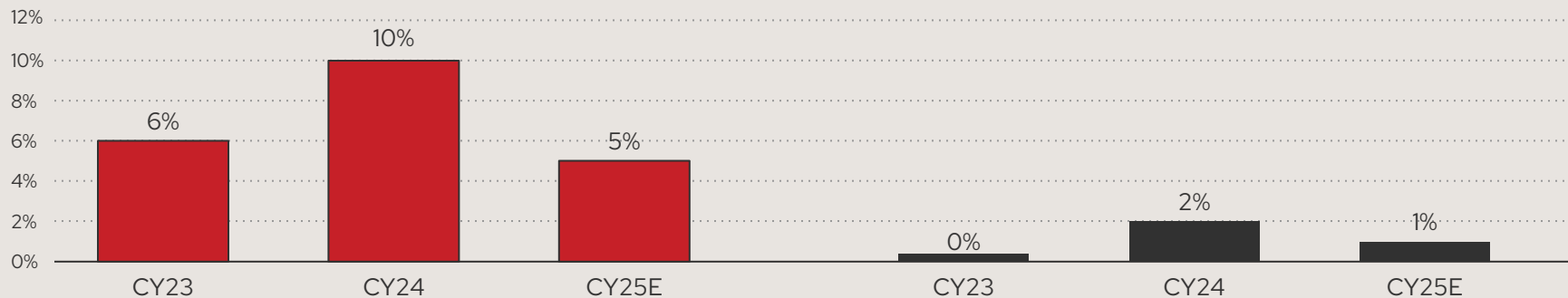
Source: Pitchbook and company filings. Based on latest full year filing.

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Software Companies Continue to Grow Headcount Well Beyond Others.

Large-Cap Application SW			
 ATLASSIAN		servicenow	

Magnificent 7 ⁽¹⁾		
		
 Microsoft	 NVIDIA.	



Source: Altimeter. Company filings. CY25E as of Q3 2025.

(1) Mag-7 excludes Amazon given retail labor force.

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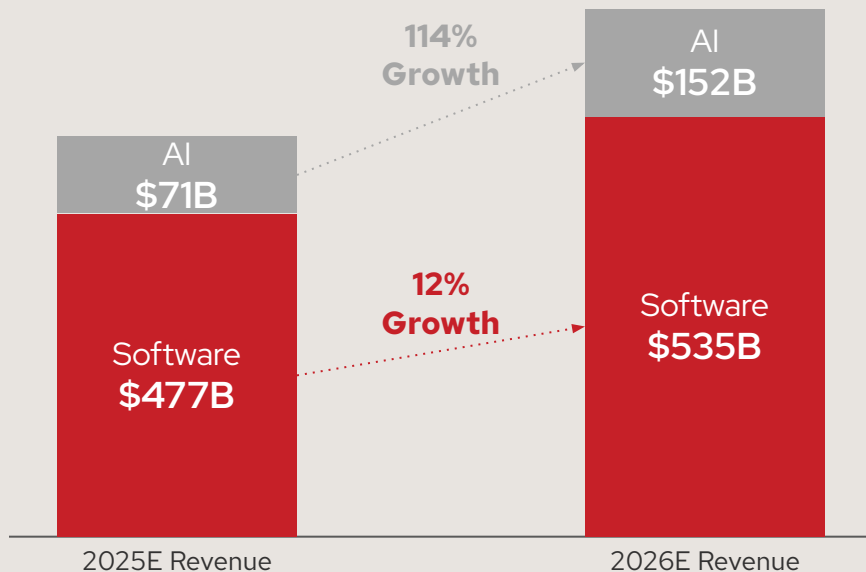
But An AI-Powered Business May Look Very Different.

	Today	AI Efficiencies in 3-5 Years	
Revenue	100	+25-35%	New product/AI Features, GTM changes, faster PDLC
Infra & Cloud	8-14	+10-20%	Increased compute and storage
Customer Support	3-5	-20-30%	Reduced customer support costs
Customer Success	3-5	-10-20%	Automated renewals & routine tasks
Professional Services	3-5	-10-20%	Automated admin tasks: increased customization
Gross Profit	70-80	+30-50%	Primarily from revenue increase: infra costs offset COGs decrease
R&D	20-30	-15-20%	E2E automation of product dev
Sales	15-25	-15-20%	Sales productivity and efficiency
Marketing	6-10	-15-20%	Automation and AI-driven personalization
IT	2-5	-15-20%	Automated IT tasks offset by tech spend
Support Functions	5-10	-15-20%	Automated of all non-core functions
EBITDA	20-30	+100-250%	

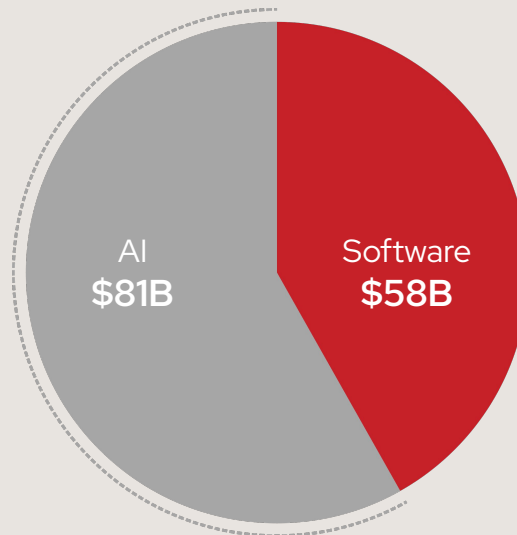
Source: McKinsey, Perspectives from Redpoint's CIO Software & AI Survey (March 2026); N = 141. Certain questions were optional or persona-specific so N-sizes may be below 141.
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Ultimately, All Companies Need to Make AI Work or Growth Prospects Are Slight.

AI vs Software Company Revenue



AI vs Software Share of Dollars Added

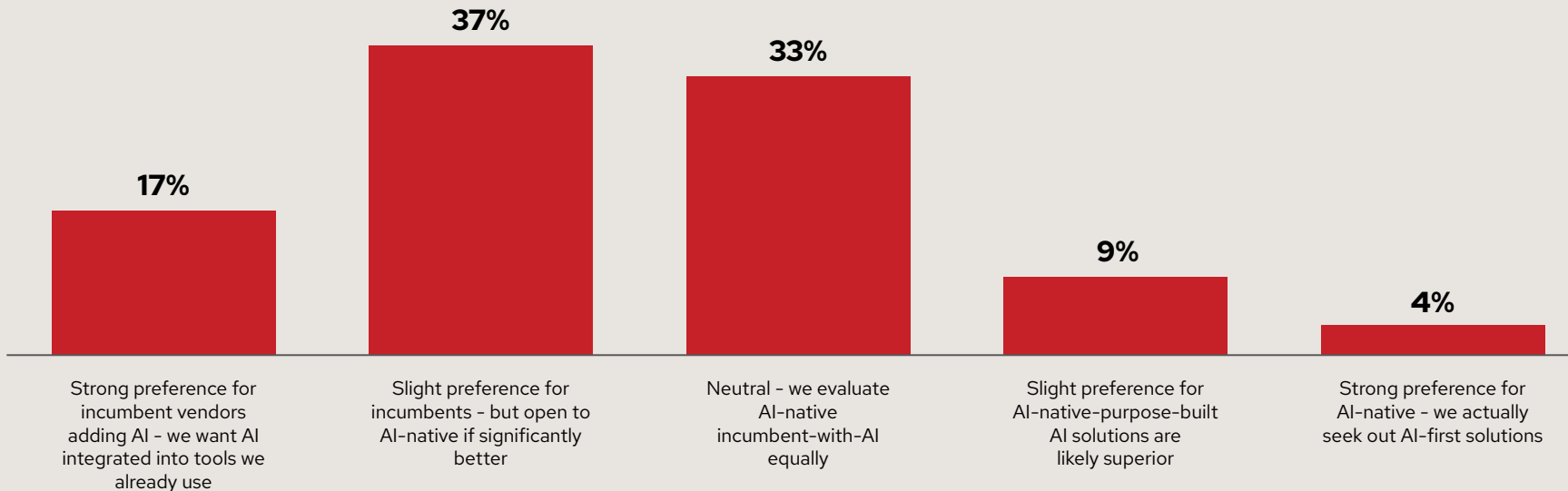


Source: Goldman Sachs Research.

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Incumbents Will Get Preferential Treatment.

CIOs' Preferred Approach to AI-Enabled Software



Source: Perspectives from Redpoint's CIO Software & AI Survey (March 2026); N = 141. Certain questions were optional or persona-specific so N-sizes may be below 141.
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But They're Largely Missing the Boat.

Auto OEM Executive on Salesforce's Agentforce

I think **Agentforce has been oversold. It's not a game changer.** It's a smart chatbot. If I just look at Agentforce as a chatbot, then **there are much better chatbots out there, and the price at which Agentforce is coming in, I expect a miracle and that's not happening.** Our data has a role to play there, but the overpromise and under-deliver of Salesforce Agentforce is a bit disappointing.

Global Industrial Executive on ServiceNow

If there's a startup that came along and said, "We can do **this better at a better price,**" certainly they'll beat the price of ServiceNow because ServiceNow is always going to be the highest. **I wouldn't even think twice about switching. I don't want to be the one who is slow to innovate** when you see other people that are running to adopt the technology as fast as possible.

F500 Executive on Microsoft Copilot

Microsoft recognizes that the pricing that they released for Copilot is not going to stick because it literally doubles your E3. **A one-to-one increase for an E3 license is significant.** Like many other large enterprises, **we have also decided against going enterprise-wide with a Copilot rollout because of the pricing that we've seen.** We're not alone in our assessment of where that stands today.

Challenge Is Real For Incumbents: Building an AI-Company Is Fundamentally Different.

FUNCTION	TRADITIONAL SOFTWARE	AI-NATIVE
Executive Team	Hire "been there, done that"	First-principles thinkers. No playbook exists. Speed matters
Gross Margins	75–85%. Near-zero marginal cost per user	50–70% blended at scale
Product Development	Customer-led: listen, build to spec	Possibility-led: understand the models and build ahead of them
Engineering & QA	Deterministic	Probabilistic
Sales	Packaged product, sold as-is	FDE model
Customer Success	Often low-effort or focused on cross-sales	Critical - everything starts as a POC with lots of education
Pricing	Seat-based, predictable ARR	Consumption or outcome-based, still experimental

Existing Companies Are in Need of a "Re-Founding" Moment.

The Architectural Reset

- AI is not a feature addition, but rather an architectural shift comparable to the cloud transition.
- Product experiences are evolving. Chat interfaces and copilots create new interfaces and agents are becoming users of software.
- Companies that re-platform around AI architectures may unlock new categories of value.
- The cloud transition took a decade. AI models are advancing so quickly that this transition may unfold even faster.

Historical Parallels

- On-premise to cloud: incumbents that embraced the transition (Microsoft, Adobe) outperformed.
- Those that resisted or moved slowly (IBM, Oracle) lost market share and took a while to catch up.
- Key lesson: early, decisive action on architecture matters more than perfection.
- Advantage goes to companies that treat this as a strategic priority, not an incremental feature.

What "Re-founding" Means in Practice

- Re-examine core product assumptions: which workflows can be automated, augmented or fundamentally redesigned.
- Evaluate data assets: proprietary data is the most durable competitive moat in an AI-native world.
- Consider new pricing models: AI-driven outcomes may command different (and potentially higher) revenue per customer.
- Plan for better models: build applications that will compound in value as the underlying models improve.

Two Paths For Pre-AI Names.

FORCING AI-NATIVE CONVERSATIONS



Mentally assume existing business might be worthless

Focus on what AI makes possible, without being anchored to the current product. Keep the brand and know-how, but be willing to rethink everything else. Move decisively across multiple options.



Live and breathe the tools

Treat your own workflows as a test bed for what the models can actually do.



Make AI a standing board room topic

Review progress regularly with clear milestones and accountability.



Test pricing models as AI adoption accelerates

Experiment with outcome-based and consumption pricing for new AI products.

EXPLORING STRATEGIC ALTERNATIVES



Pursue strategic options like M&A if leverage exists

Don't wait for the multiple to compress further. Proactive outreach now preserves optionality.



Assess acqui-hire value of team and data

Determine if the team, customer relationships, or datasets are worth more inside an acquirer, particularly to model companies.



Implement AI to improve margins and drive cash flow

Use AI to improve operational efficiency and accelerate cash flow profitability.



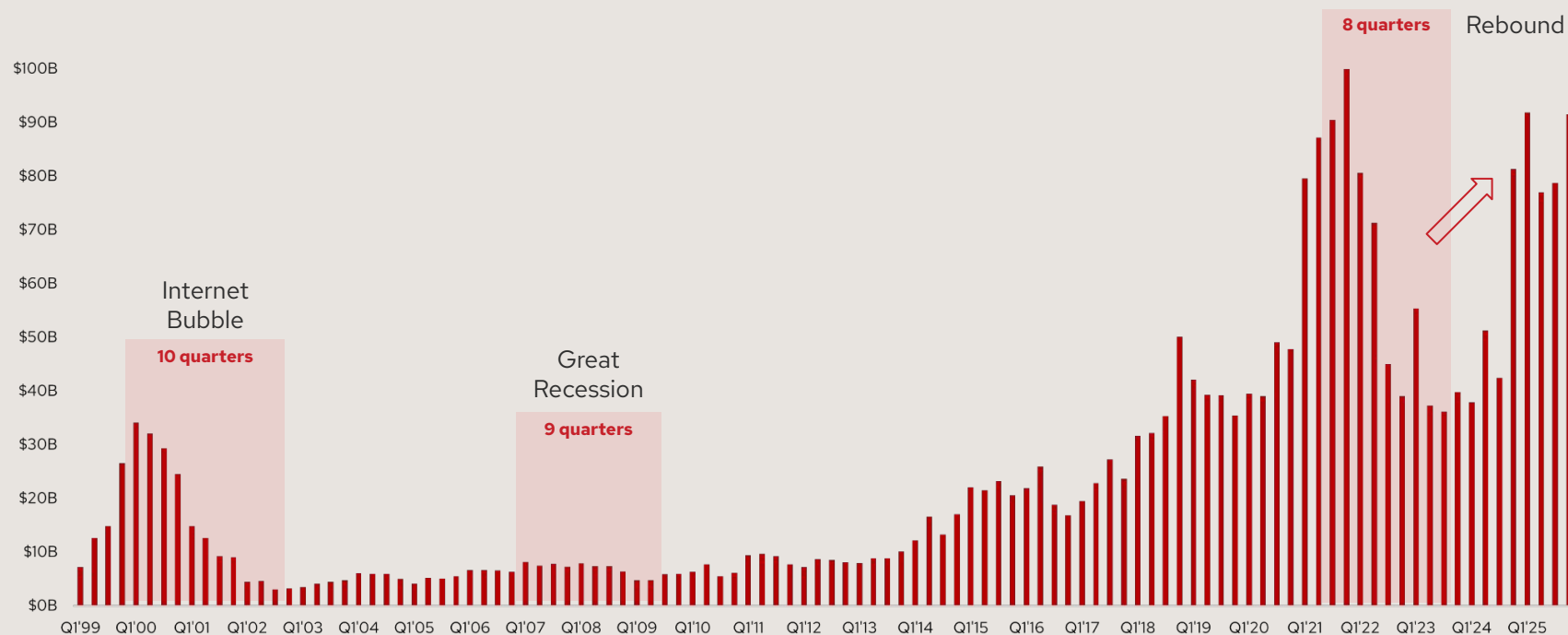
Shorten planning horizons to 6-12 months

Execute with urgency. Do not plan on 1-3 year timelines.

**But AI Presents Opportunity for the
Private Market.**

AI Has Caused a Venture Funding Rebound.

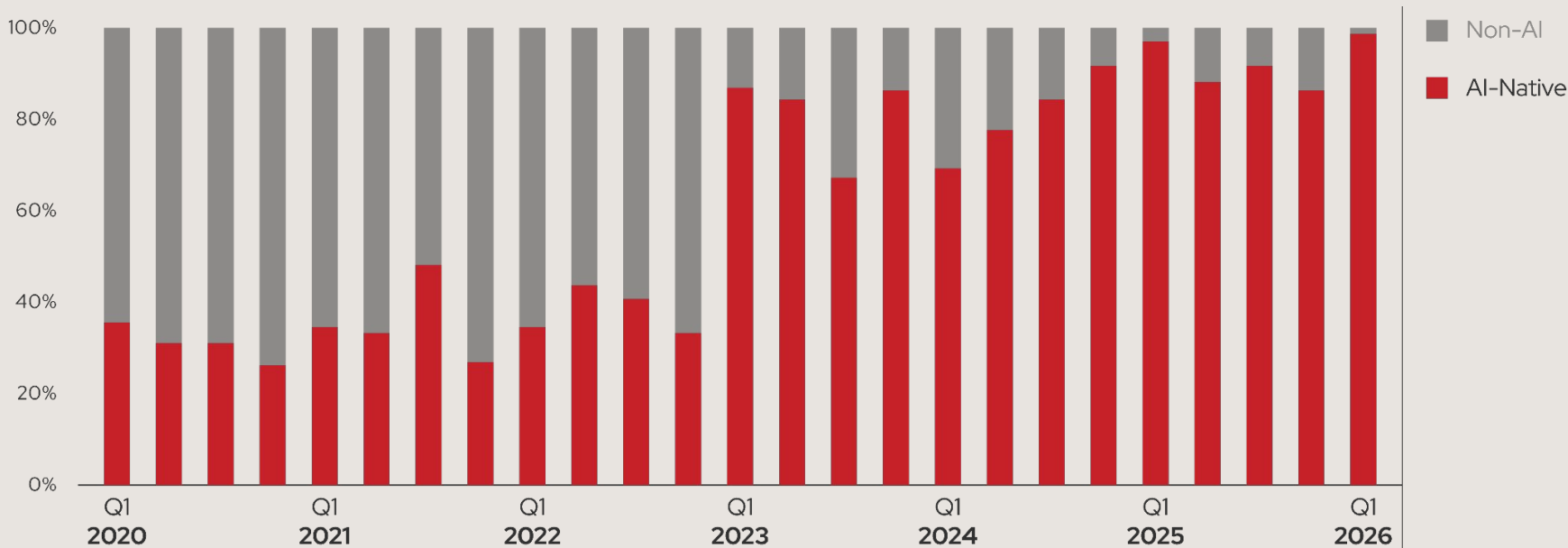
Total Venture Dollars Invested Quarterly (\$B)



Source: Pitchbook & NVCA, Venture Dollars Invested each quarter as of December 2025.
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Driving The Vast Majority of All New Deals.

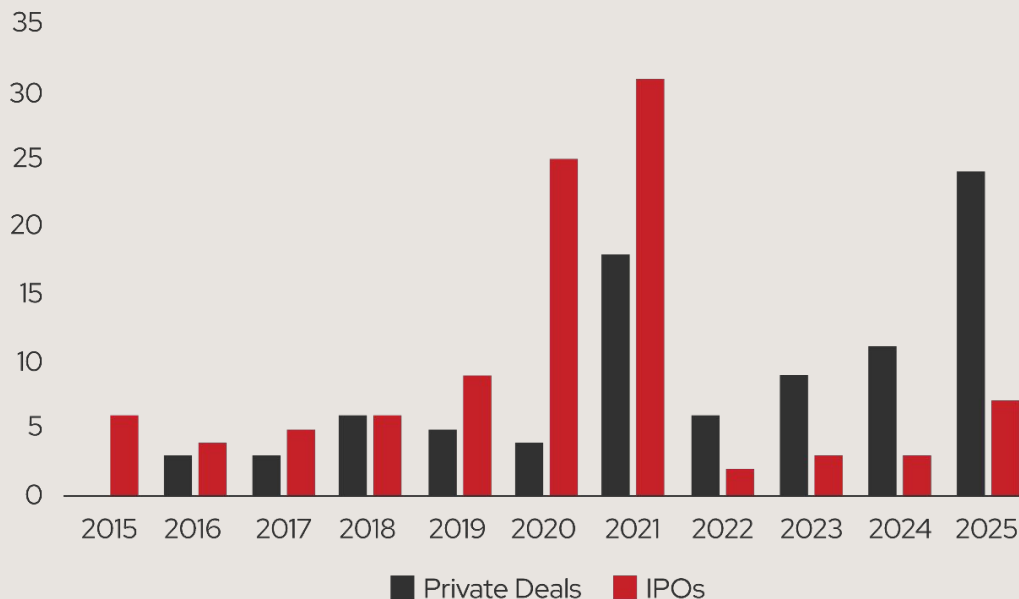
Total Funding by AI vs Non-AI



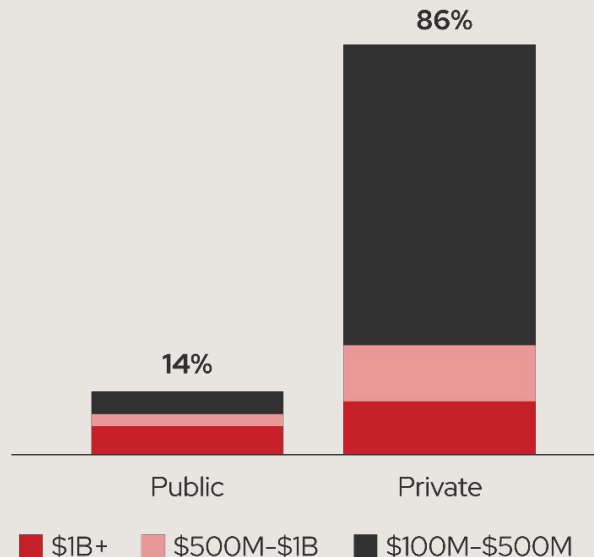
Source: Pitchbook. Data shows a proprietary collected set of relevant tech deals done by peer firms.
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Late Stage Private Markets Have Become the New Public Markets.

Count of \$1B+ Deals - IPOs vs Private Deals



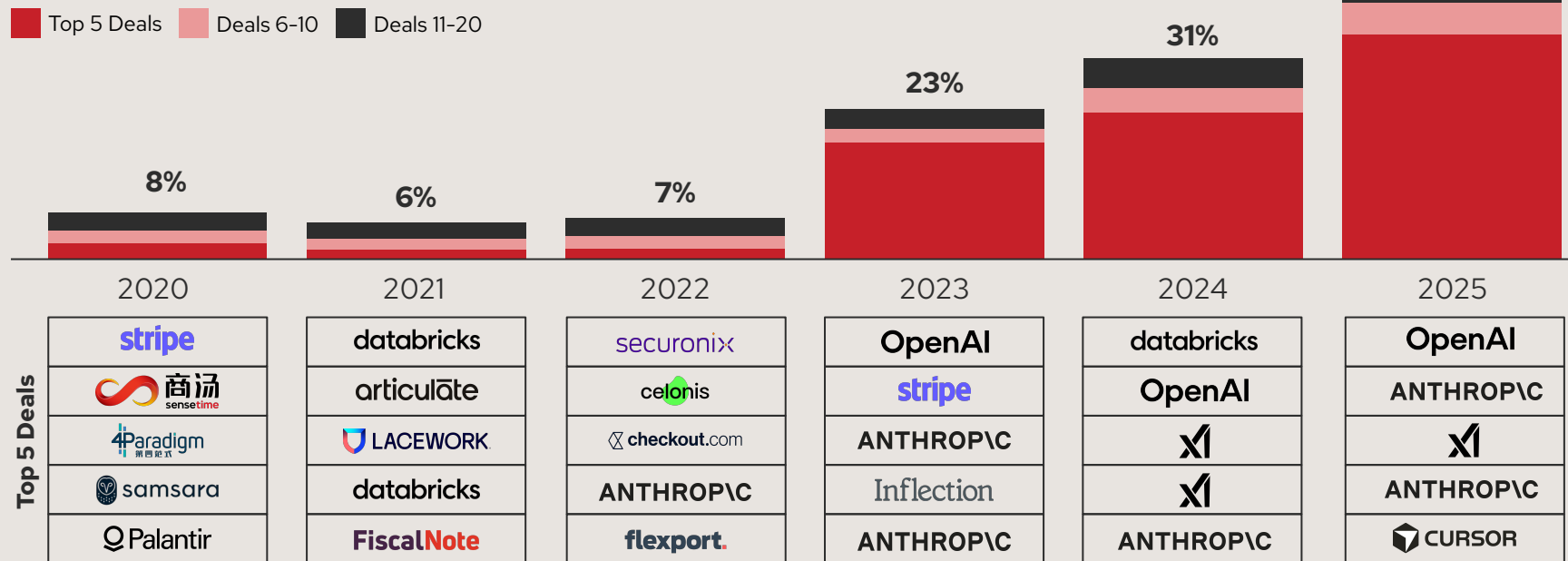
U.S. Companies with \$100M+ in Revenue - Public vs Private



Source: Apollo and JPMorgan Asset Management (2026).
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Venture Dollars Are Concentrating into a Handful of Deals.

Top 20 Largest VC Deals as a % of Total Enterprise Software VC Funding



Source: StepStone Group, Pitchbook, Redpoint internal analysis. Includes enterprise software VC activity for deals with disclosed transaction size.
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It is Taking Less Time to Become a \$50B+ Company Now.

Pre-2000s Cohort		
Company	Founded	Time to Achieve \$50B Valuation
Intel	1968	27 Years
AMD	1969	50 Years
SAP	1972	29 Years
Microsoft	1975	20 Years
Apple	1976	29 Years
Oracle	1977	22 Years
Adobe	1982	34 Years
Autodesk	1982	38 Years
Intuit	1983	35 Years
Cisco	1984	13 Years
Dell	1984	35 Years
Qualcomm	1985	14 Years
Synopsis	1986	35 Years
Cadence	1988	33 Years
Nvidia	1993	23 Years
Amazon	1994	15 Years
Netflix	1997	18 Years
Google	1998	6 Years
Salesforce	1999	16 Years
Alibaba	1999	15 Years
Median		25 Years

2000s Cohort		
Company	Founded	Time to Achieve \$50B Valuation
Fortinet	2000	21 Years
SpaceX	2002	18 Years
Palantir	2003	17 Years
ServiceNow	2003	16 Years
Tesla	2003	14 Years
Shopify	2004	16 Years
Meta	2004	8 Years
Palo Alto	2005	16 Years
Spotify	2006	14 Years
Airbnb	2007	13 Years
Uber	2009	6 Years
Cloudflare	2009	12 Years
Waymo	2009	17 Years
Median		16 Years

Post-2000s Cohort		
Company	Founded	Time to Achieve \$50B Valuation
Stripe	2010	11 Years
CrowdStrike	2011	10 Years
Applovin	2012	12 Years
Snowflake	2012	8 Years
Coinbase	2012	9 Years
ByteDance	2012	6 Years
Nubank	2013	11 Years
Robinhood	2013	12 Years
DoorDash	2013	7 Years
Revolut	2013	12 Years
Databricks	2013	11 Years
OpenAI	2015	9 Years
Anduril	2017	9 Years
Anthropic	2021	4 Years
Cursor	2022	4 Years
xAI	2023	1 Year
Median		9 Years

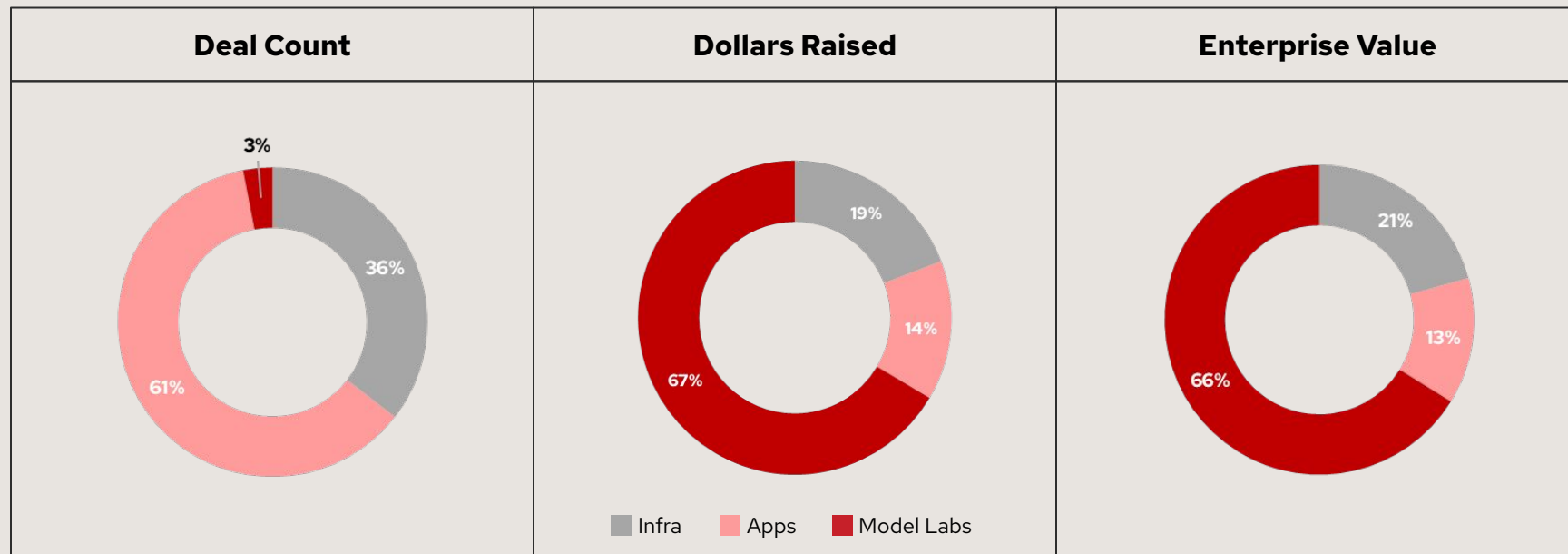
Source: Pitchbook, public announcements. Analysis only includes companies currently valued at \$50B+. Valuations based on market capitalization for public companies and last known valuation for private companies.

Note: Assumes Cursor's rumored valuation of ~\$50B as of March 2026.

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Value Has Accrued to Models While N of Investments Skews to Applications.

VC fundraising for AI-native companies since ChatGPT release (Nov-22)



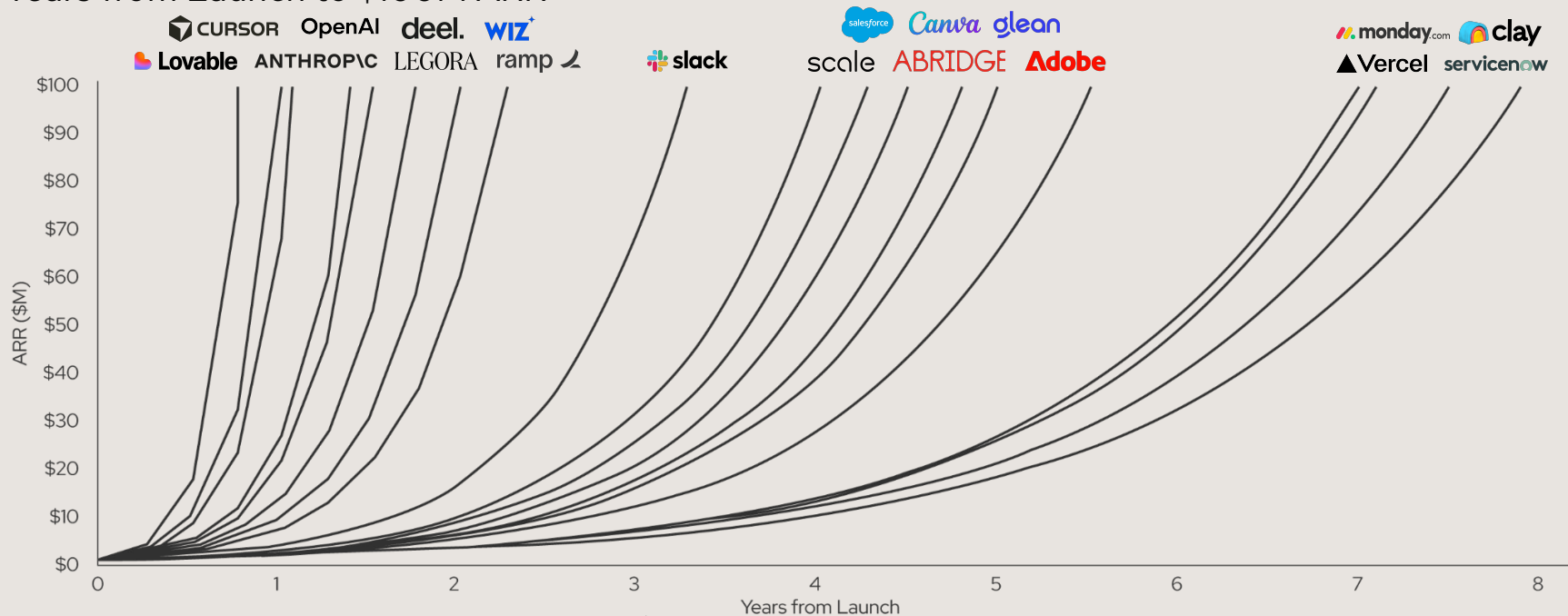
Source: Pitchbook. Data includes a proprietary collected set of relevant AI-native VC deals done by peer firms.
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Three AI Investment Vectors in Private Market Software.

CATEGORY	THESIS	WHAT WE LOOK FOR	QUESTIONS
Applications	Expand software TAM into \$6T labor budgets	Own workflows outside of near-term model provider scope Vertical AI with data and distribution advantages	Which categories present opportunities to unlock massive labor automation? What other new things are unlocked by lowering cost of intelligence?
Infrastructure	Picks and shovels to deploy, orchestrate, and govern AI models	Solve critical bottlenecks that worsen at enterprise scale	As model intelligence matures, what AI infra matters most?
Model Labs	OpenAI/Anthropic represent potential platforms, creating a portfolio hedge Net new model categories will exist beyond LLMs in different companies	Talent density and model quality Adjacent data needs and specialized research talent outside of large labs	Will model intelligence prove to be commoditized at scale? When will other spaces (robotics, biology, video) have their ChatGPT moments?

Applications Are Growing at Unprecedented Rates.

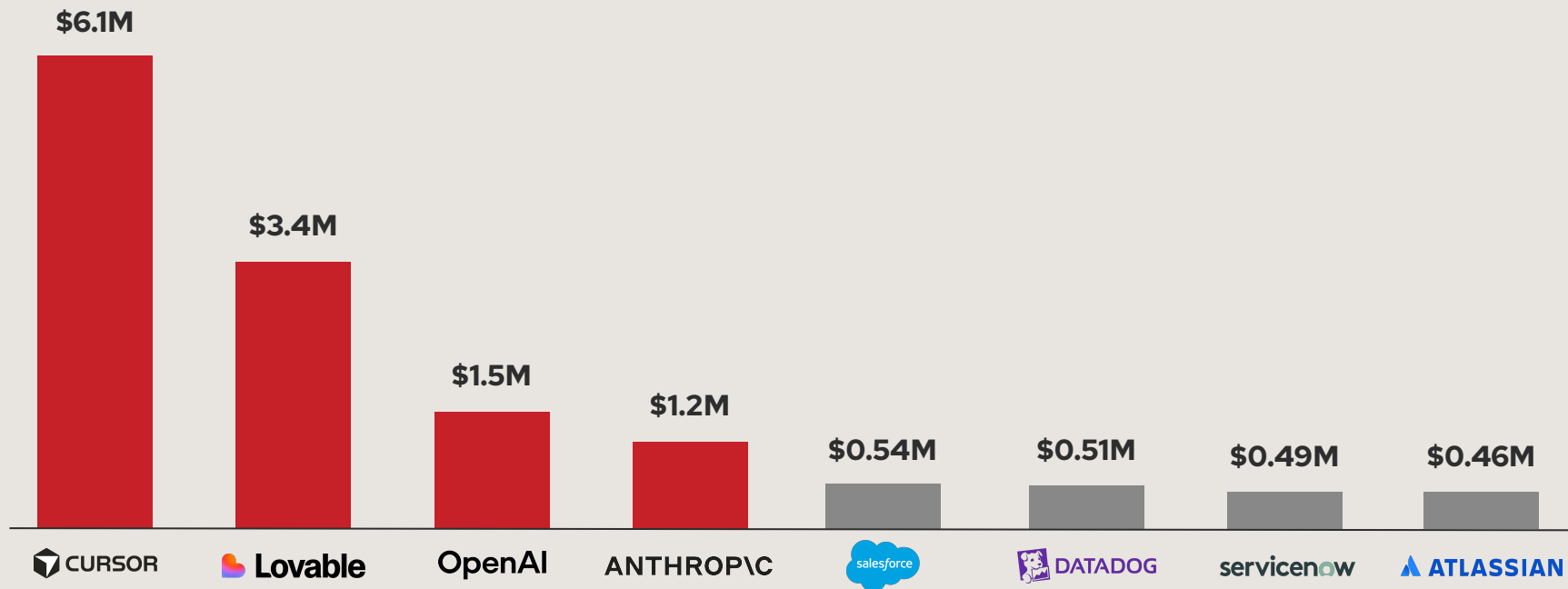
Years from Launch to \$100M ARR



Source: Catalyst, company websites, press releases, executive interviews, Redpoint data. Intermediate growth paths to \$100M are illustrative.
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AI is Enabling Unprecedented Efficiency.

ARR/FTE



Source: Accel Globalscape Report 2025.

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Revenue at Application Layer Is Starting to Emerge Broadly.

Selected Companies with >\$10M in ARR

(Logos redacted)

First 3.5 Years Post-ChatGPT

(November 2022 - March 2025) N=20

+Additional 12 Months

N=50

Source: Publicly available data and Redpoint revenue estimates. For illustrative purposes only. Logos redacted as Redpoint estimates are not publicly disclosed.
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AI Infra Startups Remain Early, But 2026 Could Be a Great Year.

Agent Security / Governance

Auth, policy enforcement, compliance for autonomous agents

Agent Monitoring

Observability and tracing for long, multi-step agent workflows

RL and Learning Loops

Continuous learning loops to reinforce agent behavior

Agent Orchestration

Coordinating multi-agent workflows, task routing, and handoffs across systems

AI-Native Product Security

Enabling secure-by-design development flows

Autonomous App Testing

Agentic testing and simulation to secure applications

Inference / Compute

Modal, Fireworks, Baseten, Together
Addressing massive inference demand by serving LLMs reliably

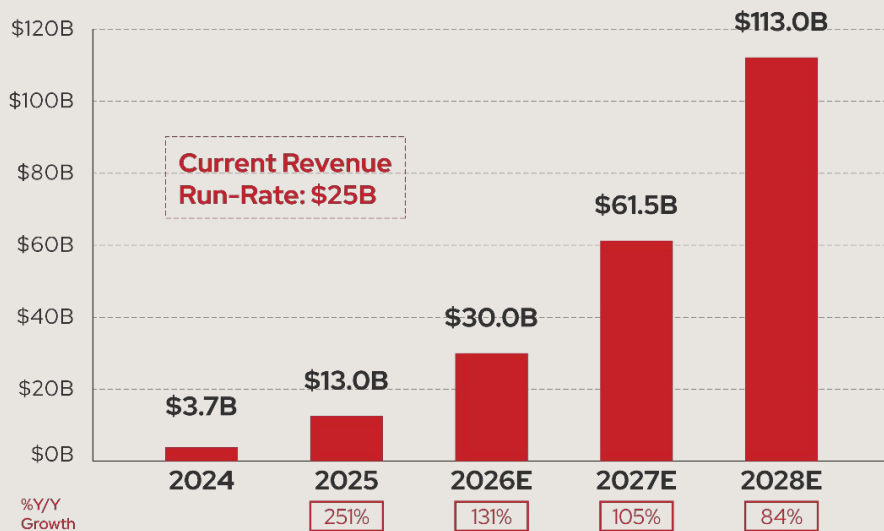
Foundation Models

OpenAI, Anthropic, Google
Core intelligence layer underlying AI applications

Foundation Models Present Generational Opportunities.

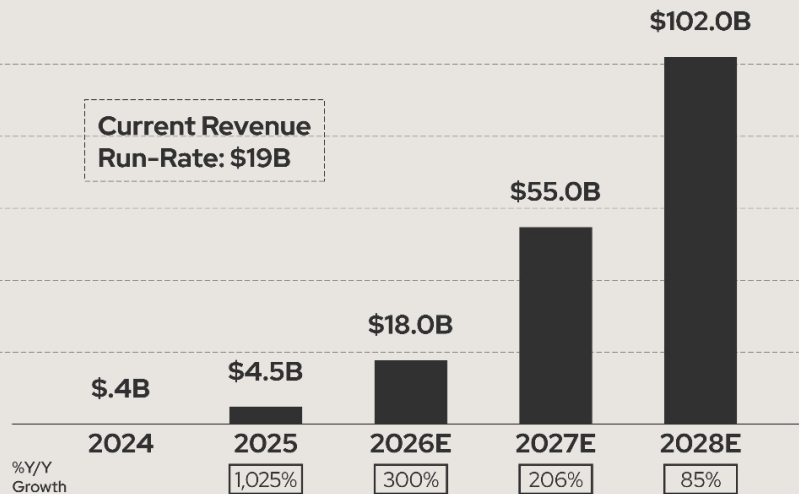
OpenAI Total Revenue Projections

Current Equity Value: \$840B



Anthropic Total Revenue Projections

Current Equity Value: \$380B



Each Major AI Lab Is Rapidly Expanding Its Capability Surface.

OpenAI	
ChatGPT	Conversational AI, recently passed 1B+ users Nov '22
Sora	Text-to-video generation model Feb '24
Codex	Autonomous cloud coding agent May '25
ChatGPT Agent	Multi-step autonomous task execution Jul '25
Atlas Browser	AI-native browser with agent mode Oct '25
Inference Chip	Custom silicon w/ Broadcom for AI inference Late '26
Jony Ive Device	Ambient, screenless AI hardware TBD '27

Anthropic	
Claude	Frontier AI model & API platform Mar '23
Claude Code	Terminal-native agentic coding tool Feb '25
Claude Cowork	Desktop agent across files & apps Jan '26
Claude for Excel	AI add-in for spreadsheet modeling Oct '25
Claude for PowerPoint	Template-aware slide creation add-in Feb '26
Claude Computer Use	Claude has advanced computer use abilities Mar '26

We Are Seeing Dozens of Neolabs Raise Money.

AI Lab Spin-Outs

Safe SuperIntelligence

Founded: 2024

Founder(s): Fmr. OpenAI Founder

Latest Valuation: \$32B

Funds Raised: \$3B

Pioneering New Architectures

Ineffable

Founded: 2026

Founder(s): David Silver (DeepMind)

Latest Valuation: \$4B

Funds Raised: \$1B

Domain-Specific Bets

Physical Intelligence

Founded: 2024

Founder(s): Research / Fmr. DeepMind

Latest Valuation: \$5.6B

Funds Raised: \$1B+

Thinking Machines

Founded: 2025

Founder(s): Fmr. OpenAI Execs

Latest Valuation: \$50B (rumored)

Funds Raised: \$7B+ (rumored)

AMI Labs

Founded: 2025

Founder(s): Yann LeCun (Meta)

Latest Valuation: \$4.5B

Funds Raised: \$1B+

Isomorphic Labs

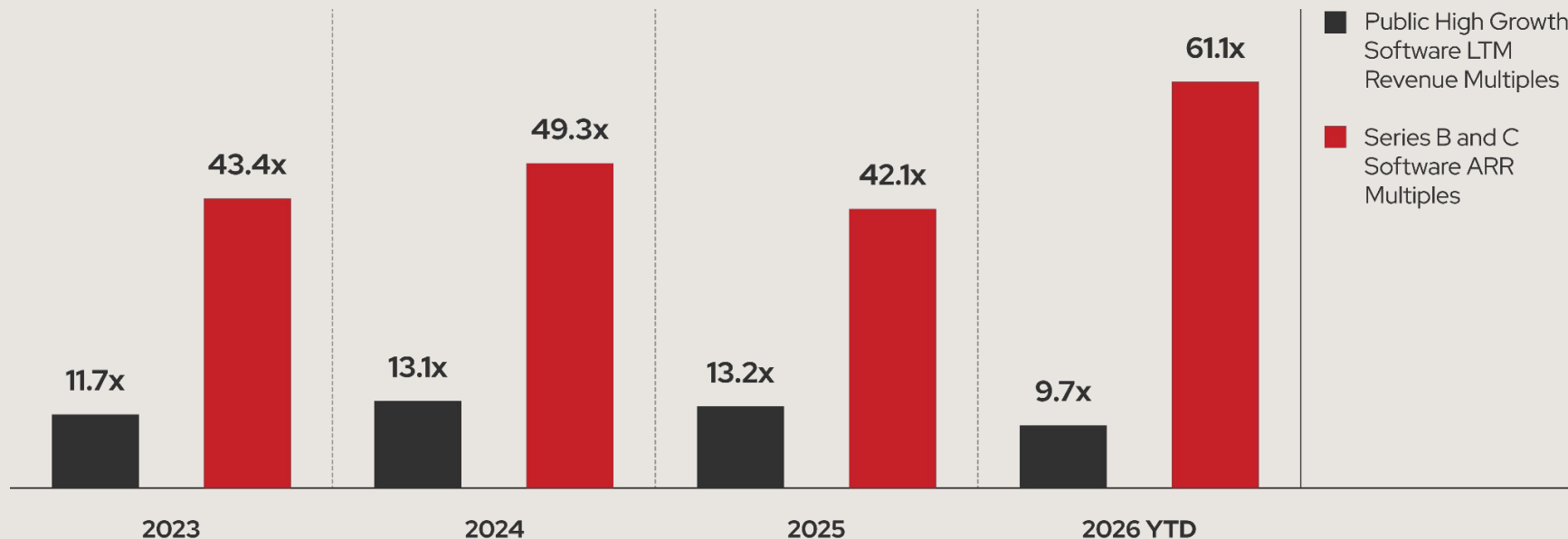
Founded: 2021

Founder(s): Fmr. DeepMind Leaders

Latest Valuation: \$1.8B

Funds Raised: ~\$600M

If You Compare Comps in Private and Public Markets, It Seems Crazy.



Source: Catalyst public market data. Series B and C current ARR multiples based on median of proprietary collected set of relevant deals done by peer firms.

Note: Public High Growth Software bucket calculates average over shown period of median LTM revenue multiple for companies in the top 20th percentile of NTM revenue growth. Market data as of 3/20/2026.
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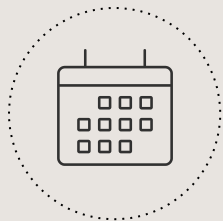
Growth-Adjusting Is Quite Imperfect But Does Paint a Far Different Story.

Revenue Multiple	Revenue Multiples				
		2023	2024	2025	2026 YTD
	Series B and C Software Median ARR Multiples	43.4x	49.3x	42.1x	61.1x
	Public High Growth Software LTM Revenue Multiples	11.7x	13.1x	13.2x	9.7x
	Premium/(Discount) of Private to Public Market	270%	276%	220%	528%
÷	Growth Rates				
Growth Rate x 100		2023	2024	2025	2026 YTD
	Series B and C Software Median ARR Growth	332%	363%	478%	640%
	Public High Growth Software Avg LTM Growth Rate	47%	31%	27%	29%
	Growth-Adjusted Revenue Multiples				
Growth-Adjusted Revenue Multiple		2023	2024	2025	2026 YTD
	Series B and C Software Median ARR Multiples	0.07x	0.13x	0.09x	0.05x
	Public High Growth Software LTM Revenue Multiples	0.28x	0.44x	0.50x	0.37x
	Premium/(Discount) of Private to Public Market	(75%)	(70%)	(82%)	(86%)

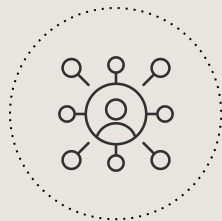
Source: Catalyst public market data. Series B and C current ARR multiples based on median of proprietary collected set of relevant deals done by peer firms. Market data as of 3/20/2026.

Note: Public High Growth Software bucket calculates average over shown period of median LTM revenue multiple for companies in the top 20th percentile of NTM revenue growth. Growth-adjusted multiples calculated at the company level before aggregating.
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That Said, This Is an Insanely Difficult Market to Invest In.



Large rounds are closing in days, as founders move quickly to capture the AI opportunity and secure scarce, expensive talent.



Every category is crowded, with dozens of startups and incumbents competing, leaving execution and go-to-market as the key differentiators.



The bar is set extremely high from day one, requiring **exceptional execution to grow fast enough and justify high early-stage valuations.**

Rounds Are Happening Faster and Faster.

Median Days Between Fundraising Rounds (Seed - Series C)



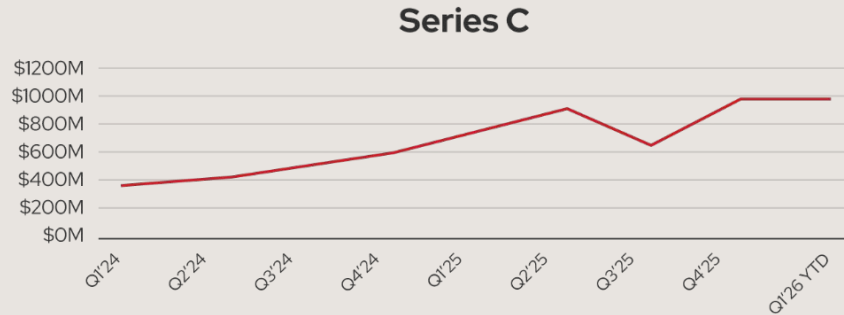
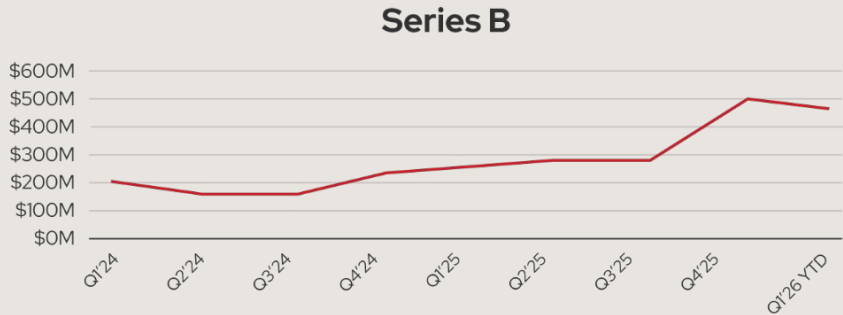
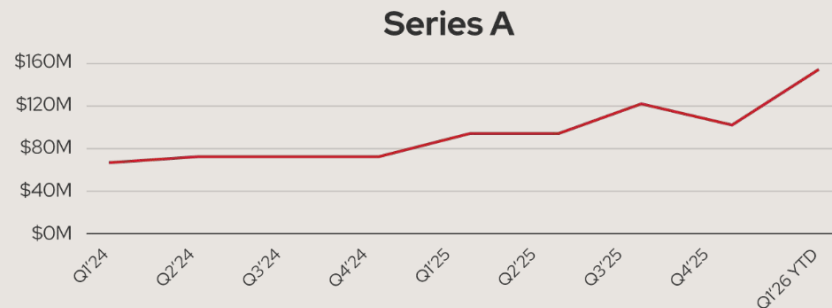
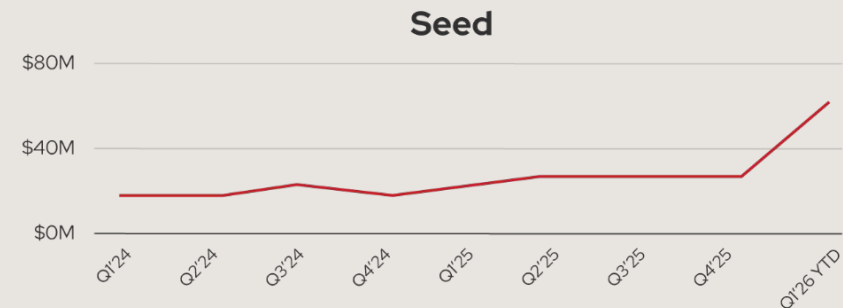
Source: Pitchbook. Data shows rolling 6-month median of a proprietary collected set of relevant Seed through Series C deals done by peer firms.
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Every Interesting Category Has Many Competing Startups.

Customer Support		Legal		Clinical Documentation		Logistics	
 Decagon	 Giga	 Finch	Harvey	ABRIDGE	 Ambience	 augment	boon
 SIERRA	wonderful	LEGORA	 Spellbook	Freed	Suki	 HappyRobot	 VOOMA
ITSM		Coding		Evaluations/Observability		GTM	
 CONSOLE	 Ravenna	 Cognition	 CURSOR	 arize	 Braintrust	 AURASELL	 clay
 Risotto	 Serval	 poolside	 Sourcegraph	 LangChain	 raindrop	 MONACO	 Reevo
		 ZED INDUSTRIES				 unify	
Inference		Reinforcement Learning		Browser Infra		Web Search	
 baseten	 fal	 Adaptive ^{ML}	 Applied Compute	 Browserbase	 Browser Use	 exa	 Firecrawl
 Fireworks AI	 Modal	Deeptune	Fleet	 kernel		 parallel	 tavily
		 Mechanize	 Patronus AI				

Early Stage Valuations Are Rising Across All Stages.

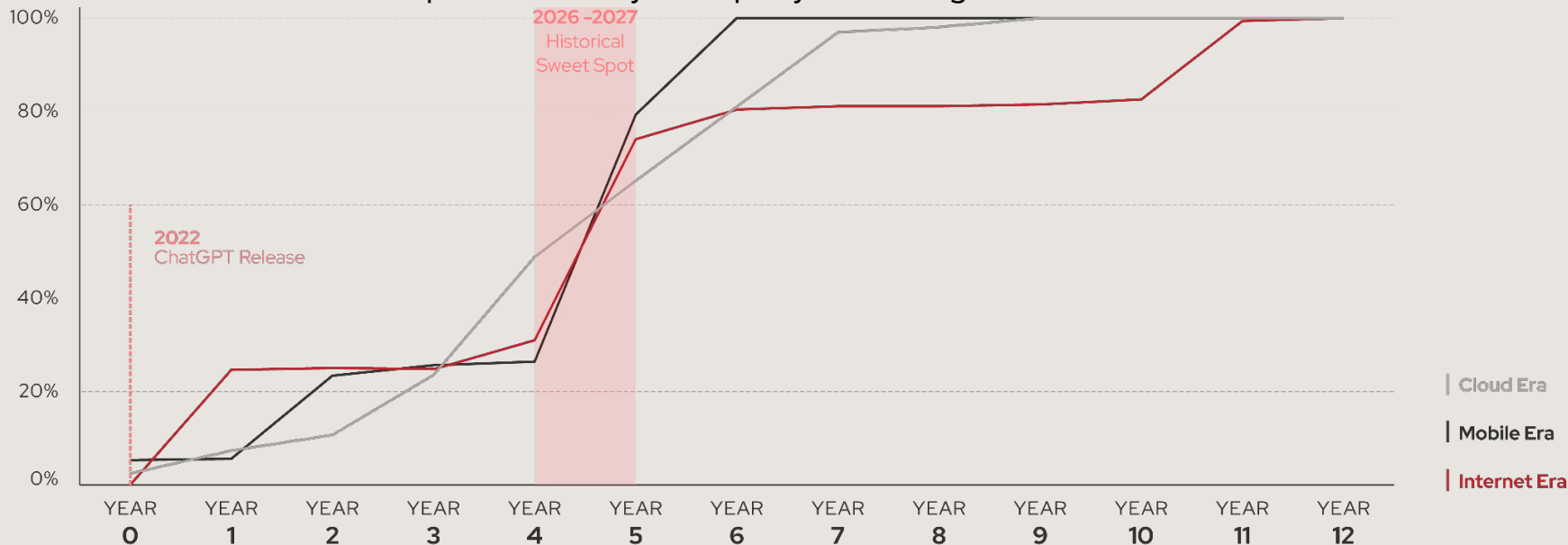
Median Post-Money Valuation



Source: Pitchbook. Data shows median of a proprietary collected set of relevant Seed through Series C deals done by peer firms.
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If History Repeats, This Is the Optimal Deployment Period.

Cumulative % of Era Enterprise Value by Company Founding Year



Note: Redpoint analysis of cumulative enterprise value created across the top 20 companies in each era, indexed by founding year. Companies valued at current market cap for public companies, acquisition price for acquired companies, and last known valuation for private companies. Erastart dates are defined by the launch of key enabling technologies: Internet (1993, Mosaic browser), Cloud (2006, AWS), and Mobile (2007, iPhone).

Source: Pitchbook and public filings.

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Conclusion.

We Have Conviction, But Are Clear Eyed About What We Don't Know.

WHAT WE CAN'T PREDICT

Which software categories compress fastest

The newspaper analogy holds directionally, not precisely. Some incumbents will surprise us.

Which portfolio companies will succeed with AI transition

Some will not successfully execute, but we're doing what we can to assist portfolio companies on this journey.

When the public market re-rating happens

Multiples could stay suppressed longer if disruption accelerates faster than expected. We cannot call exit timing.

What Foundation Model providers do next

OpenAI, Anthropic and Google control the intelligence layer. Their pricing decisions and vertical expansion could reshape which categories remain independent.

Source: Gartner IT Spending Estimates, Forrester, U.S. Bureau of Labor Statistics, Redpoint analysis.

Note: U.S. software and services estimates derived from Gartner spending data adjusted for Forrester's estimate of 41% U.S. market share. Operational and knowledge work payroll estimates derived from U.S. Bureau of Labor Statistics Occupational Employment and Wage Statistics (2024) across selected occupational groups based on Redpoint classification and judgment. TAM analysis includes US only.

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WHERE WE HAVE CONVICTION

\$6T is arithmetic, not aspiration

US professional labor payroll is \$6T+. Even 5% AI penetration (potentially conservative given 85–90% cost reduction with proven ROI) exceeds the existing US software market.

Year 4–5 is when durable winners historically get started

We've seen this pattern in prior platform shifts. ChatGPT launched in November 2022, and we're entering that window now.

Growth-adjusted, private valuations are actually not insane

Spreads look wide, but once you factor in growth, valuations are less extreme than they appear.

The application layer has survived every platform shift

The moat for applications was never the underlying infrastructure and has survived the shift to the cloud and the shift to mobile. The winners might change, but the opportunity will persist.